OECD

ECONOMIC SURVEYS

1982-1983

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

SWITZERLAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MAY 1983

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTIC OF SWITZERLAND

THE LAND

Area (1 000 sq. km.)	41.3
Cultivated land, grassland and pastures (1 000 sq. km., in 1972)	20.2
Forest (1 000 sq. km., in 1972)	10.5

Major cities, 1980 estimates (1 000 inhabitants):	
Zurich	369.5
Basle	182.1
Geneva	156.5
Bern	145.3

THE PEOPLE

Population, 1981 average, estimates (1 000)	6 429
No. of persons per sq. km.[2]	156
Net annual rate of population increase (per 1 000 inhabitants, average 1975-1980)	–0.1
Civilian employment, 1981 (1 000)	3 054
Percentage distribution:	
Agriculture	7.0
Industry and construction	39.6
Other activities	53.4

Number of foreign workers (1 000):	
December 1982	647.9
Annual average increase in the number of foreign workers census (1 000):	
1962-1972	16.8
1973-1981	–21.1

PRODUCTION

Gross national product in 1981 (billion Swiss francs)	185.6
Growth of real GNP, 1974-1981 average (annual rate, per cent)	0.4
Gross fixed investment in 1981 (in per cent of GNP)	24.2
Growth of real investment, 1974-1981 average (annual rate, per cent)	–0.1

Value added by origin in 1975 (in per cent of GDP at factor cost):	
Agriculture	4.6
Industry	29.8
Construction	6.2
Services	59.4

THE GOVERNMENT[1]

Public consumption in 1981 (in per cent of GNP)	12.5
Revenue in 1981 (in per cent of GNP)	20.1
Public debt in per cent of current receipts (1981)[2]	63.0

Composition of Parliament (per cent) in 1979:

	National Council	State Council
Christian Democrats	22.0	41.4
Radical Democrats	25.5	30.4
Socialists	25.5	15.2
Central Democratic Union	11.5	8.7
Other	15.5	4.3

Last elections: 1979
Next elections: 1983

FOREIGN TRADE

Exports of goods and services as a percentage of GNP (average 1974-1981)	34.8
Commodity exports (fob, million US dollars, 1981)	26 717
Percentage distribution:	
By area in 1981:	
To OECD countries	72.9
To EEC countries	48.7
To OPEC countries	8.0
By SITC groups in 1981:	
Food, drinks and tobacco (SITC sections 0 and 1)	3.3
Raw materials (2, 3, 4)	1.8
Semi-finished goods and chemicals (5 and 6)	40.1
Finished manufactured goods (7, 8, 9)	54.9

Imports of goods and services as a percentage of GNP (average 1974-1981)	34.3
Commodity imports (cif, million US dollars, 1981)	30 603
Percentage distribution:	
By area in 1981:	
From OECD countries	86.1
From EEC countries	65.6
From OPEC countries	3.6
By SITC groups in 1981:	
Food, drinks and tobacco (SITC sections 0 and 1)	8.6
Raw materials (2, 3, 4)	16.0
Semi-finished goods and chemicals (5 and 6)	31.0
Finished manufactured goods (7, 8, 9)	44.4

THE CURRENCY

Monetary unit: Swiss franc

Currency unit per U.S. $, average of daily figures:	
Year 1982	2.0296
March 1983	2.0628

1. Confederation, Cantons and Communes.
2. Consolidated debt of the Confederation.

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Switzerland by the Economic and Development Review Committee on 12th April 1983.

After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 25th April 1983.

INTRODUCTION

With the usual time lag relative to the world economy, the Swiss economy entered into recession in the second half of 1981 and remained there in 1982. The downturn in activity was caused by the fall in foreign demand, aggravated by a steep appreciation of the Swiss franc in late 1981-early 1982, and to some extent by the restrictive impact of monetary policy on domestic demand. The slowdown in inflation which had been expected for the beginning of 1982 occured later, largely because of higher energy prices due to the dollar's appreciation. This trend turned round in the summer, however, and the rate of increase in domestic prices eased appreciably in the second half of 1982 and the early part of 1983. The downturn in GDP in 1982 (– 1.3 per cent) caused a significant fall in employment and an increase in unemployment, full-time and partial, though the unemployment level is still extremely low in relative terms. With the marked decline in imports, the current balance, which had been slightly negative in 1980, showed a surplus equivalent to 3.3 per cent of GNP in 1982.

Economic policy, which had been tightened in 1981 when public finance was brought into equilibrium and central bank money creation was stable, was relaxed somewhat in 1982 when it became apparent that the recession was continuing and that the pace of inflation was slowing. Money creation resumed an upward trend and interest rates fell steeply. Despite the re-emergence of a slight deficit of the Confederation budget, public finance had no more than a moderately expansionary impact. However, a number of specific support measures were taken (extension of the duration of unemployment benefits, release of crisis reserves, demand support programme). The policy course set for 1983 remains broadly in line with the authorities' cyclical policy objectives: strict control of the rate of money creation and return to medium-term equilibrium of public finance. Nevertheless, although the target for central bank money creation is the same as in 1982 (+ 3 per cent), the extremely low level of interest rates certainly constitutes a major demand stimulus. On the other hand, a demand support programme of an amount equivalent to 0.8 per cent of GNP has been adopted.

Although the right conditions for recovery are now present in Switzerland, the economic prospects for 1983 remain poor. GDP may be flat owing to the continuing weakness of domestic demand and the more moderate prospects for an upturn in foreign demand, which will probably not occur until the second half of the year. Inflation might slow appreciably as a result of more moderate trends in domestic prices and also in import prices, notably for oil. Largely because of the terms-of-trade improvement, the trade deficit may narrow by about $0.7 billion in 1983 and the current account surplus may amount to $3.7 billion or 3½ per cent of GNP.

Part I of the survey reviews the main developments in the Swiss economy on the domestic and external fronts. Part II is devoted to an analysis of economic policy including some of its structural aspects. The survey ends with the short-term economic prospects and certain policy conclusions.

I. RECENT TRENDS

Domestic trends

Demand and output

The decline in GDP, which reached 1.3 per cent in volume terms in 1982, was slightly bigger than forecast in last year's Economic Survey of Switzerland (0.8 per cent). This fall in output put an end to a five year phase of expansion. It was due to a contraction in domestic demand and exports, whereas a year ago it was forecast that real private consumption might grow about 0.5 per cent with the increase in purchasing power following the adjustment of wages for inflation in 1981. In fact, the growth of households' purchasing power was virtually cancelled out by the rate of inflation which continued to be close to that in 1981 and by the fall in employment and rise in unemployment during the year. Furthermore, the household savings ratio probably rose between 1981 and 1982. According to the povisional official estimates of December 1982 it could have reached 5.5 per cent of disposable income (compared to 4.2 per cent in 1981)[1]. The decline in private consumption was then estimated at 0.2 per cent for 1982. On the basis of the provisional quarterly accounts of March 1983, consumption would have fallen by 1 per cent on average. The increase in the savings ratio therefore was probably bigger than expected at the end of last year. After a period of rapid growth from 1978 to 1981 (3 per cent on average), gross fixed investment fell appreciably in 1982 (down about 3.4 per cent). This downtrend began in mid-1981 for investment in plant and became much more marked in 1982, reaching 8.7 per cent in the second half-year. In construction the decline was quite sharp around the middle of the year, mainly because of the rise in mortgage rates.

All told, the decline in domestic demand in 1982 is estimated at 0.7 per cent. Stockbuilding's contribution was about + ½ per cent, given involuntary stocking of finished products in firms[2]. Exports responded to the slowdown in world demand with a certain time lag; they began to fall back only in the third quarter of 1982 and, even though imports also fell back in the second half of the year, in 1982 as a whole the foreign balance's contribution to growth was negative at – 0.6 per cent of GDP, whereas in 1981 the combination of a decline in imports and strong growth of exports resulted in a positive contribution to GDP growth of 2.7 per cent. The fall in exports was a major factor in the decline in industrial production which reached 5 per cent in manufacturing industry in 1982.

1. The savings ratio as defined in the Swiss national accounts excludes households' savings in pension and reserve funds. This ratio to households' disposable income differs by about 6 percentage points from that calculated according to the OECD standardized national accounts definitions (see Economic Survey of Switzerland, April 1982, footnote 65, page 36, and *Cahier de Conjoncture*, No.2/82 of the Swiss Federal Statistics Office).

2. Statistical information on stocks is very fragmentary in Switzerland. In the national accounts publications stock movements and statistical errors are put under the same heading. In the OECD standardized accounts (old system), the difference between the two aggregates is small but there are no more recent data than for 1981.

Table 1. **Relative trends of the Swiss economy**

	Real GDP[1]				Employment[1]				Unemployment rate[2]			
	1973/1967	1976/1973	1981/1976	1982/1981	1973/1967	1976/1973	1981/1976	1982/1981	1968-73	1974-76	1977-81	1982
Switzerland	4.3	−2.5	2.4	−1.3	1.0	−3.1	0.8	−1.4	0	0.4	0.3	0.5
Austria	5.8	2.7	2.6	1.1	0.4	0.3	0.5	−1.0	1.5	1.6	2.0	3.5
Belgium	5.4	2.6	1.5	−0.3	1.0	−0.3	−0.2	−1.7	2.5	4.9	8.6	12.4
Denmark	4.5	2.1	1.3	2.6	0.9	0.1	0.4	0.2	1.4[3]	4.9	7.4	9.7
Norway	3.8	5.4	3.6	0	2.1	2.6	1.6	0	1.7	1.9	1.8	3.4
Netherlands	5.5	2.6	1.4	−1.6	0.7	−0.2	0.1	−2.5	1.5	3.7	5.4	10.8
Sweden	3.5	2.7	1.0	0.5	0.8	1.8	0.7	0	2.2	1.7	2.1	3.0
Europe	5.1	2.0	2.0	0.4	0.5	−0.1	0	−1.0	—	—	—	—

	Consumer prices[1]				Borrowing requirement or lending capacity[4]			Current balance[4]		
	1973/1967	1976/1973	1981/1976	1982/1981	1972-73	1979-80	1981-82	1968-73	1974-81	1982
Switzerland	5.1	6.0	3.3	5.7	−1.8	−0.7	−0.2	0.1	3.4	3.5
Austria	4.8	8.4	5.2	5.4	0.8	−3.0	−2.0	−0.7	−3.1	0.5
Belgium	4.5	11.5	5.0	8.7	3.8	−8.2	−12.4	2.8	−1.8	−4.7
Denmark	6.7	11.3	10.9	10.1	8.6	−2.9	−7.9	−1.9	−3.4	−4.5
Norway	9.4	10.1	9.3	11.3	5.1	3.8	5.2	−1.2	−5.1	1.5
Netherlands	9.6	9.5	5.6	6.0	−3.5	−3.6	−5.3	1.3	0.9	4.5
Sweden	5.3	10.0	10.9	8.6	4.2	−3.5	−6.0	0.8	−2.4	−3.0
Europe	5.7	12.5	13.5	10.6	—	—	—	0.5	−0.7	—

1. Percentage change at an annual rate.
2. Annual average. Unemployment rates should be compared with caution because of differences of definition.
3. 1970-73 average.
4. As a percentage of GDP, annual average.

Table 2. **Demand and output**

	1981 at current prices		Percentage change, volume[1]					
	SF million	Percentage share of GNP	1977	1978	1979	1980	1981	1982[2]
Private consumption	115 755	59.5	3.0	2.2	1.3	2.6	0.5	−1.0
Public consumption	23 465	12.1	0.5	2.0	1.1	0.9	0.5	1.9
Gross fixed asset formation:	44 855	23.1	1.6	6.1	5.1	9.9	3.0	−3.4
Construction	30 800	15.8	0.3	2.4	5.0	9.1	4.1	−1.9
Machinery and equipment	14 055	7.2	4.3	13.1	5.3	11.4	1.1	−6.0
Final domestic demand	184 075	94.6	2.4	3.0	2.2	4.3	1.2	−1.3
Change in stockbuilding[3, 4]	3 280	1.7	−0.2	0.3	2.3	1.5	−1.9	0.6
Exports of goods and services	69 140	35.6	9.7	3.7	2.5	5.1	4.7	−3.6
Imports of goods and services	70 930	36.5	9.3	10.9	6.9	7.2	−1.3	−2.1
Change in foreign balance[3]	−1 790	−0.9	0.2	−2.9	−2.0	−1.2	2.7	−0.6
Gross domestic product	185 565	95.4	2.4	0.4	2.5	4.6	1.9	−1.3
Gross national product	194 455	100	2.8	0.4	2.8	4.2	2.7	−1.3
GDP implicit price deflator			0.3	3.6	2.0	2.7	6.9	6.7
Consumer price index			1.3	1.0	3.6	4.0	6.5	5.7
Index of industrial production			6.0	0	2.0	5.0	−1.0	−4.0

1. At 1970 prices.
2. Estimates.
3. As a percentage of previous year's GDP.
4. This item is partly a residual value; it also contains statistical errors and omissions and does not reflected stockbuilding fully.

Sources: La vie économique; Federal Statistics Office, *Reflets de l'économie.*

Employment and productivity

Employment adjusted to the recession in two stages. During the early part of 1982, when activity was expected to pick up, firms probably postponed trimming their workforces in order to maintain skilled manpower; by contrast, in the second half of the year employment declined rapidly in industry and building, which meant that over the year as a whole total employment fell by 1.4 per cent in spite of the continuing rise in the service sector[3] (up 0.8 per cent). While still modest by comparison with the other OECD countries, unemployment began to increase steeply in the fourth quarter of 1981 and the rate of unemployment, then 0.2 per cent of the labour force, reached 0.9 per cent in January and February 1983. Partial unemployment also increased at the end of 1981, but on a bigger scale than full-time unemployment, and accelerated very sharply in the autumn of 1982, as evidenced both by the number of partially unemployed and by the total number of hours not worked[4]. At the beginning of 1983 this upward trend in partial unemployment continued, the number of persons affected (68 500) having increased by 10 per cent in February from the previous month. According to the estimates of the Swiss authorities, partial unemployment represented on average during 1982 a full-time equivalent of 0.4 per cent of the labour force. As in previous periods of falling output, the labour force participation rate declined during the greater part of the year[5].

In 1982, as in 1981, the reduction in weekly hours worked was extremely moderate (down 0.2 per cent). This relative stability in a period of declining activity reflects the fact that firms, for profitability reasons, are against a reduction in working hours without an accompanying reduction in pay, whereas employees insist on the level of wages being maintained. In 1982 average labour productivity probably fell by 1 per cent on 1981 for the total economy and in industry, where provisional estimates suggest that output may have fallen by 4 per cent and employment by 3 per cent; however, because of the steep increase in partial unemployment, particularly in the secondary sector, hourly productivity in industry probably rose in 1982.

Trends in productivity and employment would indicate that after a short uncertain period, at the end of 1981 and the beginning of 1982, the adjustment of supply to the slowdown in total demand was rapid, as it was during the recent years. As in the other OECD countries, productivity in Switzerland decelerated after the first oil crisis: during the period 1973-1978 the deceleration was very much of the same order (2.5 percentage points by comparison with the 1962-1972 trend) as in the OECD area as a whole. On the other hand, in the subsequent period (1979-1982) the deceleration on the 1962-1972 trend was distinctly less pronounced in Switzerland than in the other OECD countries and there was even a slight recovery compared with the previous six years, whereas there was a further deceleration in the other countries.

Wages and prices

Indexation of wages on the previous year's increase in prices caused wage rates to accelerate in 1982 compared with 1981, with hourly earnings advancing by 7 per cent compared with the year-earlier figure of 5.6 per cent. The growth of monthly earnings, although faster than in 1981, remained negative in real terms (down 0.4 per cent)

3. The decline in employment in 1982 was particularly marked in some sectors, such as machinery and metals (–15 000 jobs), watchmaking (–8 000) and construction (–20 000).

4. The number of hours of partial unemployment per month rose from 81 498 in the third quarter of 1981, or 33.3 hours per unemployed person, to 2.7 million in January 1983 an average of 40 hours per unemployed person.

5. Between the third quarter of 1981 and the third quarter of 1982, the labour force participation rate measured as the ration of total labour force (employed plus unemployed) to the total resident population had fallen from 48.2 to 47.6.

Table 3. **Employment, labour market**

	1980	1981	1982	1981 Q1	1981 Q2	1981 Q3	1981 Q4	1982 Q1	1982 Q2	1982 Q3	1982 Q4
	Thousands	Percentage change from previous year									
Total employment[1]	2 838	1.5	−1.4	1.9	1.5	1.4	1.6	0.5	0.0	−0.1	−1.4
of which: Industry	976	0.5	−3.0	1.5	0.2	−0.1	0.3	−1.2	−2.4	−3.3	−4.3
Building and civil engineering	197	2.4	−9.7	4.3	3.3	2.2	4.7	−2.3	−5.5	−7.5	1.0
Services	1 630	2.0	0.8	1.9	2.1	2.2	2.1	1.8	1.2	0.3	0.4
	Hours										
Weekly hours worked											
Industry	43.7	−0.2	−0.2	−0.2	−0.2	−0.2	−0.2	−0.2	−0.2	−0.2	−0.2
Building	45.6	0	−0.6	0	−0.2	0	0.2	−0.2	−0.2	−0.9	−1.1
	Number[2]										
Labour market[2]											
Wholly unemployed	6 255	5 889	13 220	6 885	4 725	4 630	7 318	10 287	10 290	12 265	20 038
of whom: Foreigners (%)	25.2	26.1	28.5	24.1	27.3	27.9	26.1	25.5	28.7	30.1	28.9
Vacancies	12 312	11 876	6 352	13 560	12 918	11 156	9 869	8 398	6 786	5 591	4 633
Partially unemployed	2 128	5 704	36 611	3 280	2 384	2 450	14 703	23 750	31 331	31 686	59 676
Numbers of hours not worked (thousands)	85.3	258.4	1 402.8	185.6	83.6	81.5	683.0	1 069.6	1 191.2	1 046.3	2 304.3
Dismissals	100	204	846	147	150	228	290	706	677	821	1 181

1. Excluding agriculture (average over four quarters for yearly figures).
2. Average of end-month figures.
Sources: La vie économique; Federal Statistics Office, *Reflets de l'économie.*

mainly because of the increase in partial unemployment. Moreover, given the fall in employment, total wages probably increased at a much slower rate[6]. According to the October 1982 survey it could have showed a decline in real terms. In spite of the fall in employment, unit labour costs speeded up considerably during 1981 and probably rose by about 7.5 per cent in 1982, which helped to keep the inflation rate up. Firms' financial positions probably deteriorated in 1982 because of the trend of unit labour costs, but the extent of the deterioration is likely to have been partly limited by the stabilization of the cost of supplies.

During the 1960s and 1970s productivity gains in Switzerland were smaller than the growth of real wage incomes (defined as per capital wage incomes deflated by the consumer price index). The deterioration of the terms of trade after the first oil shock was quite limited in Switzerland in its size and duration; and indeed on average between 1972 and 1978 a slight improvement was registered, due to the Swiss franc effective exchange rate appreciation. Thus the gap between productivity gains and the growth of real wages widened less rapidly if productivity is adjusted for terms of trade changes. However, even when this correction is made, the gap increased faster in Switzerland than in the OECD area. After the second oil shock, the growth of wages slowed down to a rate close to the gains in productivity, but the gap still increased due to the deterioration of terms of trade. Overall, it grew by 6½ per cent between 1972 and 1982, compared to 3½ per cent in the OECD area. Thus, there was probably a sharp reduction in the share of profits in Switzerland during the last ten years and a corresponding decline in the return on capital.

The decline in the share of profits probably caused a shift in businessmen's behaviour as they had to cope with the growing difficulties brought about by the Swiss franc's appreciation which was affecting the competitiveness of Swiss products, both abroad and on the domestic market. Employment adjustment to output and hence, to real labour costs became much more drastic, as was shown by the fall of 8.7 per cent of labour employed in the years 1975-1976. The elasticity of dependent employment with respect to real labour costs become indeed statistically significant over the recent period (about 0.3-0.4 between 1966 and 1980)[7]. A similar situation may be found in other European countries (Germany, Austria and Belgium in particular) whose currencies have appreciated, the resultant loss of competitiveness being offset by adjustments to employment. In addition, the elasticity of employment with respect to GDP remained stable and relatively high over the long run (from 0.55 to 0.59).

Although the rate of inflation in Switzerland was still among the lowest recorded in the OECD countries, the slowdown in the rise in prices was much smaller than expected a year ago. Admittedly, between the fourth quarter of 1981 and the first quarter of 1982

6. The 1982 figures for the household account are not available but the provisional official estimates of December 1982 suggest that the rise in compensation of employees slowed from 8.5 per cent in 1981 (up 2 per cent in real terms) to 6½ per cent in 1982 (up 0.7 per cent in real terms).

7. Secretariat calculations give the following movement in the short-term elasticity of employment with respect to real labour costs during the different periods:

1963-75: –0.12*	1967-79: –0.41
1964-76: –0.18*	1968-80: –0.38
1965-77: –0.18*	1969-80: –0.40
1966-78: –0.31	

The figures were derived from the equation:

$$EMPL = C + RGDP_t + RGDP_{t-1} + EMPL_{t-1} + RTLC_t$$

where EMPL = dependent employment (whole economy)
RGDP = real GDP
RTLC = real total labour costs

* Denotes a non significant t value of the coefficient.

Table 4. **Wage earnings**[1]

	Annual change			1981		1982			
	1978/75	1981/78	1982/81	Q3	Q4	Q1	Q2	Q3	Q4
Hourly earnings	1.6	4.8	7.0	5.9	5.9	7.3	7.4	6.9	6.3
All branches of the economy (in real terms)	(0.3)	(0.1)	(1.3)	(−1.2)	(−1.1)	(1.9)	(1.5)	(1.3)	(0.5)
Industry and industrial arts and crafts	1.6	5.0	6.5	5.8	6.1	7.0	6.8	6.3	5.7
Construction	1.6	4.2	8.0	5.3	4.8	7.7	8.0	8.1	8.1
Monthly earnings	1.5	3.7	5.3	4.4	4.2	5.2	5.5	5.3	5.2
All branches of economy (in real terms)	(0.1)	(−1.0)	(−0.4)	(−2.6)	(−2.6)	(−0.2)	(−0.4)	(−0.3)	(−0.6)
Industry and industrial arts and crafts	1.6	3.8	5.3	4.6	4.1	5.1	5.6	5.3	5.3
Construction	1.1	3.7	5.5	4.0	4.5	5.7	5.9	5.2	5.3
Consumer price index	1.3	4.7	5.7	7.2	7.0	5.4	5.9	5.6	5.8

1. The data are derived from statistics of earnings of workers who have been victims of accidents.
Source: La vie économique.

Table 5. **Adjustment of real wage earnings in Switzerland and the OECD area**

Annual average percentage change

	Switzerland	OECD
Productivity[1]		
1962-72	3.3	3.9
1973-78	1.1	1.9
1979-82	1.1	1.0
Real wage incomes[2]		
1962-72	4.7	4.1
1973-78	2.3	2.1
1979-82	1.2	0.7
Terms-of-trade adjusted gap[3]		
1962-72	1.1	0.4
1973-78	0.8	0.6
1979-82	0.4	0

1. Real GDP divided by total employment.
2. Total compensation per employee divided by the private consumption implicit deflator.
3. Difference between real wage incomes and productivity adjusted for changes in the terms of trade.

the rate of consumer price increases on the same period of the previous year slowed by 1½ percentage points, but it then stabilized during the rest of the year at between 5.5 and 6 per cent and, on average over the year as a whole, stood at 5.7 per cent, against 6.5 per cent in 1981. Rents, whose weight in consumer prices is about 20 per cent, were largely responsible for this movement since they rose by about 9 per cent in 1982, compared with 4½ per cent a year earlier particular because they are indexed on mortgage rates. On the other hand, import prices – under the impact of the Swiss franc's appreciation – had a considerable moderating effect, the rise in prices of imported consumer products slowing from 8 per cent in 1981 to 3.2 per cent in 1982. For wholesale import prices, this movement was even more marked since an increase of 6.2 per cent in 1981 was followed by a flat trend in 1982, resulting in an appreciable slowdown in wholesale prices as a whole which in turn had an effect on consumer prices of manufactured goods[8]. The impact was appreciable in recent months given that, in terms of changes during the period, the rise in consumer prices fell from an annual 7.3 per cent during the first eight months of 1982 to 1.2 per cent during the subsequent six months[9].

8. The following relationship was estimated by the Secretariat (see Economic Survey of Switzerland, April 1982, pages 59 and 60) for consumer prices for the period 1974 to 1981:

$$PC = \underset{(2.8)}{0.05\,CUT} + \underset{(4.2)}{0.12\,PG} + \underset{(9.5)}{0.65\,PC_{t-1}} + \underset{(3.3)}{0.86}$$

with: PC = consumer price index
CUT = unit labour costs in industry
PG = index of wholesale prices

The variables are expressed as percentage changes from the same quarter of the previous year. The figures within brackets are the t values of the coefficients.

9. Since 1st January, 1983 the consumer price index (December 1982 = 100) has been calculated using a new method (sub-indices) and a new weighting pattern. The reason is that it was found that the old method biased upwards the inflation rate for products whose prices are subject to wide fluctuations (food) and that inflation could accordingly have been "over-estimated".

Table 6. **Trend of prices**

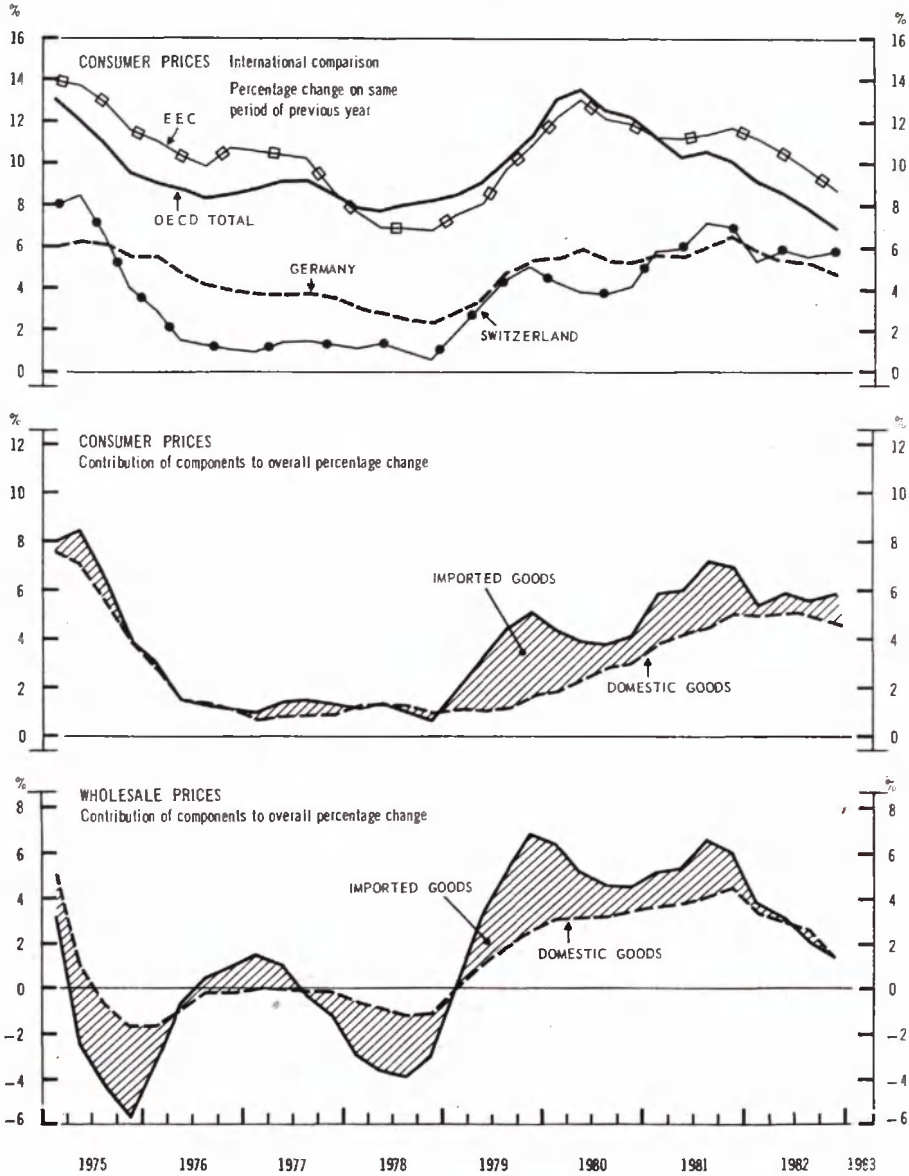
Percentage change from previous year

	% Weight	Annual change 1978/1975	1981/1978	1982/1981	1981 Q3	Q4	1982 Q1	Q2	Q3	Q4
Wholesale price index (1963 weights)	100.0	−1.3	4.9	2.5	6.6	6 0	3.8	3.2	2.1	1.4
Raw materials and semi-manufactures	61.4	−2.3	4.5	2.3	6.4	7.3	5.5	3.1	1.5	−0.7
Energy and related products	8.9	0.5	11.4	2.5	12.6	6.0	1.2	3.2	1.5	4.0
Consumer goods	29.6	0.1	3.2	3.1	4.3	3.6	1.5	3.2	3.6	4.2
Home-produced goods	70.5	−0.9	4.0	3.7	5.7	6.4	4.7	4.2	3.7	2.0
Imported goods	29.4	−2.3	7.2	0	8.7	5.3	1.5	0.5	−1.6	−0.3
Consumer price index[1]	100.0	1.3	4.7	5.7	7.2	7.0	5.4	5.9	5.6	5.8
Goods	52.2	0.6	6.0	4.4	8.7	7.5	3.9	4.7	4.2	4.7
Non-durables	42.0	0.7	7.1	4.9	9.8	8.3	4.2	5.2	4.7	5.4
of which: Food	20.0	1.3	7.0	6.8	9.5	10.6	6.3	7.6	7.6	5.7
Heating and lighting	4.0	−0.8	22.1	2.8	20.2	9.6	−0.5	3.0	0.2	8.5
Services	47.8	2.6	3.3	7.1	5.4	6.3	7.0	7.3	7.2	7.0
of which: Rents	19.0	2.0	1.8	9.4	4.6	6.6	7.6	9.7	10.7	9.4
Home-produced goods	74.4	1.7	3.6	6.6	6.0	6.8	6.6	6.9	6.7	6.2
Imported goods	25.6	0.3	7.9	3.2	10.4	7.5	2.0	3.4	2.6	4.7
Export prices					10.1	4.6	0.4	1.2	4.4	7.3
Import prices					12.4	4.7	−4.4	−5.3	−2.7	3.1
Export prices[2]					5.7	2.2	2.0	3.0	6.6	7.9
Import prices[2]					9.4	1.8	−5.0	−2.8	−1.5	4.6

1. September 1977=100.
2. Excluding precious metal, precious stones, works of art and antiques (index II).

Sources: La vie économique; Federal Statistics Office, *Reflets de l'économie.*

Diagram 1. **Trend of prices**



Sources: OECD, *Main Economic Indicators ; La vie économique.*

Balance of payments and exchange rates

Balance on current account

In spite of the steep appreciation of the Swiss franc's effective exchange rate, export volumes rose by 6.5 per cent in the second half of 1981 compared with the second half of 1980 because of the temporary upturn in world demand[10]. During the first half of 1982 they began to decline, the movement gathering considerable momentum in the second half of the year, when the decline on the same period of 1981 reached 8.6 per cent, and was steep for all product categories[11]. The fall continued in the first two months of 1983 (down 5.1 per cent). For 1982 as a whole, the decline in exports (FOB) on a customs basis was in the region of 4 per cent in volume, whereas in value exports grew by 0.6 per

Table 7. **Exports by geographical market**

	1980 values		Percentage change by value in Swiss francs	
	SF million	Percentage share	1981/1980	1982/1981
OECD	35 640.1	73.4	8.0	−1.3
Europe	30 068.5	61.9	6.1	−1.1
EEC	24 413.7	50.3	5.4	−1.3
Germany	9 618.3	19.8	0.7	−1.2
France	4 280.2	8.8	11.0	−0.5
Italy	3 641.7	7.5	11.8	−2.4
United Kingdom	3 134.2	6.5	9.4	−4.7
Belgium-Luxembourg	1 451.3	3.0	−3.7	0.5
Netherlands	1 356.4	2.8	−2.9	−5.1
EFTA	4 488.9	9.2	5.0	−4.1
Non-European countries	5 571.6	11.5	18.4	−2.1
United States	3 538.4	7.3	16.7	−0.8
Japan	1 263.9	2.6	13.6	−4.9
Non-OECD countries	12 940.7	26.6	10.8	2.2
OPEC	3 487.2	7.2	20.8	10.3
Non-oil countries	6 947.9	14.3	8.3	0.1
Planned-economy countries	2 006.3	4.1	−3.7	1.0
Total	48 580.8	100	8.7	−0.3

10. The analysis of foreign trade volumes and average values is based on Index II, not seasonally adjusted, which excludes trade in precious metals and stones, works of art and antiques. Cf. OECD Economic Survey of Switzerland, April 1982, Annex II. This Index, on a seasonally adjusted basis, shows the following changes from the previous period, at annual rates:

	1981		1982	
	I	II	I	II
Imports, cif, total, volume	–6.8	6.7	–2.4	–8.2
Average values	12.3	–0.9	–6.9	10.5
Exports, fob, total, volume	3.3	9.4	–7.2	–10.3
Average values	7.5	0.4	4.6	9.8

Source: Konjonktur, ETH Zurich, February 1983.

11. On the basis of OECD Secretariat estimates, Switzerland's foreign markets for manufactured goods showed the following movement in 1981 and 1982 (seasonally adjusted data, changes from previous period, at annual rates):

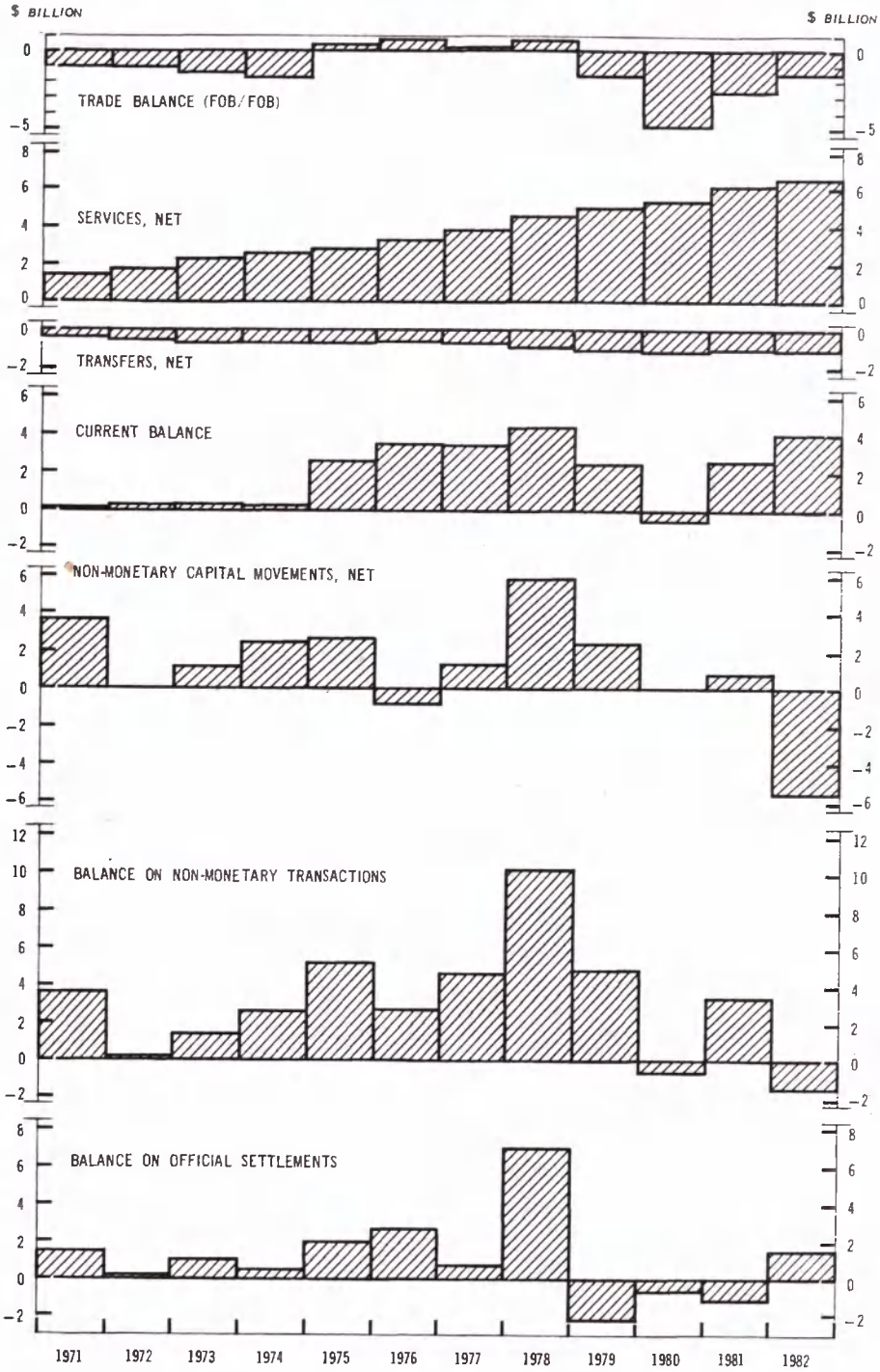
	1981		1982	
	I	II	I	II
Foreign markets	2.6	7.5	2.9	–4.7

Table 8. **Foreign trade by commodity group**[1]

		1980 values		Percentage change from previous year							
		SF million	Percentage share	1981	1982	1981 Q3	1981 Q4	1982 Q1	1982 Q2	1982 Q3	1982 Q4
Imports, cif, total	Value	53 935	100	5.1	−2.9	7.2	3.4	−3.1	−1.0	−7.1	−0.6
	Volume			−2.0	−1.8	−1.9	1.6	2.0	1.8	−5.6	−5.0
Raw materials and semi-finished goods	Value	19 416	36.0	−0.2	−4.2	0.7	0.3	−3.9	−3.8	−6.6	−2.7
	Volume			−3.8	−3.4	−3.1	−0.3	−1.6	−0.4	−5.9	−5.6
Fuels and lubricants	Value	6 495	12.0	7.7	−7.1	3.4	40.1	11.0	−2.2	−16.0	−14.8
	Volume			−9.7	−4.6	−21.1	23.2	15.6	6.3	−11.0	−20.5
Investment goods	Value	10 116	18.8	6.4	−4.1	15.0	−7.3	−7.6	−3.8	−12.2	7.7
	Volume			0.2	−5.9	5.9	−6.8	−2.2	−4.8	−14.1	−1.6
Consumer goods	Value	17 907	33.2	9.1	0.5	11.4	0.9	−3.9	3.7	−1.2	3.5
	Volume			1.7	3.0	2.9	1.3	4.4	6.9	1.4	0.2
Exports, fob, total	Value	44 592	100	9.2	0.6	10.8	10.2	4.1	2.5	−3.4	−0.8
	Volume			3.2	−4.4	4.9	7.8	2.0	−0.5	−9.3	−8.0
Raw materials and semi-finished goods	Value	15 205	34.1	6.1	1.5	8.4	6.9	4.0	0.1	−2.2	3.8
	Volume			4.3	−3.3	7.6	8.9	1.7	−2.4	−6.4	−5.6
Investment goods	Value	16 784	37.6	6.5	2.0	7.4	10.4	7.2	5.5	0.0	−3.4
	Volume			−0.4	−4.6	1.3	5.8	1.4	1.0	−9.5	−8.3
Consumer goods	Value	12 543	28.1	16.5	−2.3	18.2	13.5	0.4	1.7	−8.9	−2.2
	Volume			6.7	−5.4	6.4	9.6	3.3	−0.1	−12.5	−10.6

1. Index II, excluding precious metals, precious stones, works of art and antiques.

Diagram 2. **Structure of the balance of payments**



Source: OECD Secretariat.

cent in volume, (compared with 9.2 per cent in 1981). All geographical areas were affected by the decline in export growth but it was particularly marked in respect to the non-European OECD countries. Exports to OPEC grew 10 per cent by value and in 1982 accounted for 9 per cent of Switzerland's total exports; however, a sharp downturn occured during the year, with exports growing by 26.9 per cent in the first half and falling by 2.9 per cent in the second (compared to the same period of the previous year).

The volume trend of merchandise imports has fluctuated considerably over the past two years, which undoubtedly reflects uncertain expectations as to real demand, exchange rates and commodity prices. However, apart from these intra-year fluctuations, the overall trend of import volumes has been downward over the past two years falling at an annual rate of 2 per cent (customs basis). This trend was reversed in the beginning of 1983, with imports growing by 2.1 per cent in the first two months. In 1982, the decline in imports was particularly marked for capital goods, with 6 per cent, and energy products, with 4 ½ per cent, the latter having already shown a decline of nearly 10 per cent in 1981.

1982 saw a significant improvement in the terms of trade which was due mainly to a 1 per cent fall in import prices, whereas export prices rose by about 5 per cent, or 1 percentage point less than in 1981. In fact, over the past three years the trend in export prices has remained fairly stable (in Swiss franc terms); they rose between 5 and 6 per

Table 9. **Balance of payments**
US $ billion

	1981	1982	1981 I	1981 II	1982 I	1982 II
Seasonally adjusted[1]						
Exports, fob	28.1	27.1	13.8	14.3	14.4	12.7
Imports, fob	30.7	28.6	15.1	15.7	14.9	13.7
Trade balance	−2.6	−1.5	−1.3	−1.4	−0.5	−1.0
Services	6.2	6.0	3.0	3.3	3.2	2.8
Private transfers, net	−0.9	−0.9	−0.4	−0.5	−0.5	−0.4
Official transfers, net	−0.1	−0.2	−0.1	—	−0.1	−0.1
Current balance	2.6	3.5	1.2	1.4	2.1	1.3
Not seasonally adjusted						
Current balance	2.6	3.5	1.0	1.6	1.9	1.5
Capital movements, net[2]	−3.8	−2.1	−4.2	0.5	−2.4	0.4
Non-monetary capital[2]	0.8	−5.0	−1.6	2.3	−0.4	−4.6
Banking capital[2]	−4.5	2.9	−2.7	−1.9	−2.1	5.0
Balance on official settlements[3]	−1.2	1.4	−3.3	2.1	−0.5	1.9
Memorandum items:						
Tourism	1.3	1.1	..	..		
Capital movements[4]	−2.3	−2.9	−1.7	−0.6	−1.5	−1.4
Banking capital[4]	−3.1	2.1	−0.1	−3.0	−1.1	3.2
Balance on official settlements[4]	0.3	0.6	−0.7	1.0	0.4	0.1
Trade balance (SF billion, seasonally adjusted)	−5.0	−2.9	−2.5	−2.6	−0.9	−2.0
Current balance (SF billion, seasonally adjusted)	5.1	7.0	2.3	2.8	4.6	3.5

1. Seasonal adjustment by the OECD Secretariat.
2. Calculated as a residual.
3. Including the effects of changes in exchange rates; see note 13 of the text, section Balance of payments and exchange rates.
4. Excluding swap operations between the Swiss National Bank and the Commercial Banks.
Sources: Swiss National Bank; OECD Secretariat estimates.

cent, whereas the annual rate of change in unit import values has moved from + 11 ¾ per cent in 1980 to – 1 per cent in 1982. The narrowing of the trade deficit, from Sw.Frs.5 billion in 1981 to Sw. Frs.3 billion in 1982 on a balance of payments basis, was thus mainly attributable to the improvement in the terms of trade. The invisibles surplus remained almost unchanged with investment income increasing only moderately. On the other hand, the surplus on tourism which rose steeply in 1981 fell back slightly in 1982 as a result of the stabilization of nominal earnings and the increase in Swiss tourists' expenditure abroad[12]. This was due to the appreciation of the Swiss franc against certain European currencies and also to the slowdown of household consumption in the OECD area as a whole during the winter season of 1982. All told, the current balance probably showed a surplus of around Sw.Frs.7 billion (3.3 per cent of GNP) in 1982, compared with Sw.Frs.5.1 billion a year earlier.

Capital movements and exchange rates

In 1982, the substantial current account surplus was again largely offset by net capital outflows and official intervention in the foreign exchange market (excluding swap operations between the Swiss National Bank and commercial banks) remained rather modest. Unlike in 1981, this result was achieved without any significant net variation of the exchange rate. While the rate of the franc was largely allowed to bear the brunt of any disequilibrium between supply and demand and did fluctuate significantly over the year, this variability was not exceptional by the standard of recent years and by end-December the effective exchange rate of the franc was back roughly to the level of early January 1982. The structure of the capital account changed considerably last year. Non-monetary capital, which in 1981 had recorded a small inflow, swang into a sizeable outflow, while the net external position of commercial banks – expressed in dollars – deteriorated somewhat following a marked improvement in 1981. This apparent inflow of banking funds – the first one, on an annual basis, since the late' sixties – was the result of both a slowdown in the progression of bank foreign assets and an acceleration of the increase in foreign liabilities[13]. The main reasons for this development seem to have been the growing concern for the debt situation of several developing countries and related fears for the stability of the international banking system which may have made investment in the form of deposits with Swiss banks look more attractive to foreign portfolio holders while causing Swiss banks to become more cautious in their foreign lending[14]. In addition, the decline in exports resulted in a decrease in new bank credits denominated in Swiss francs to non-residents.

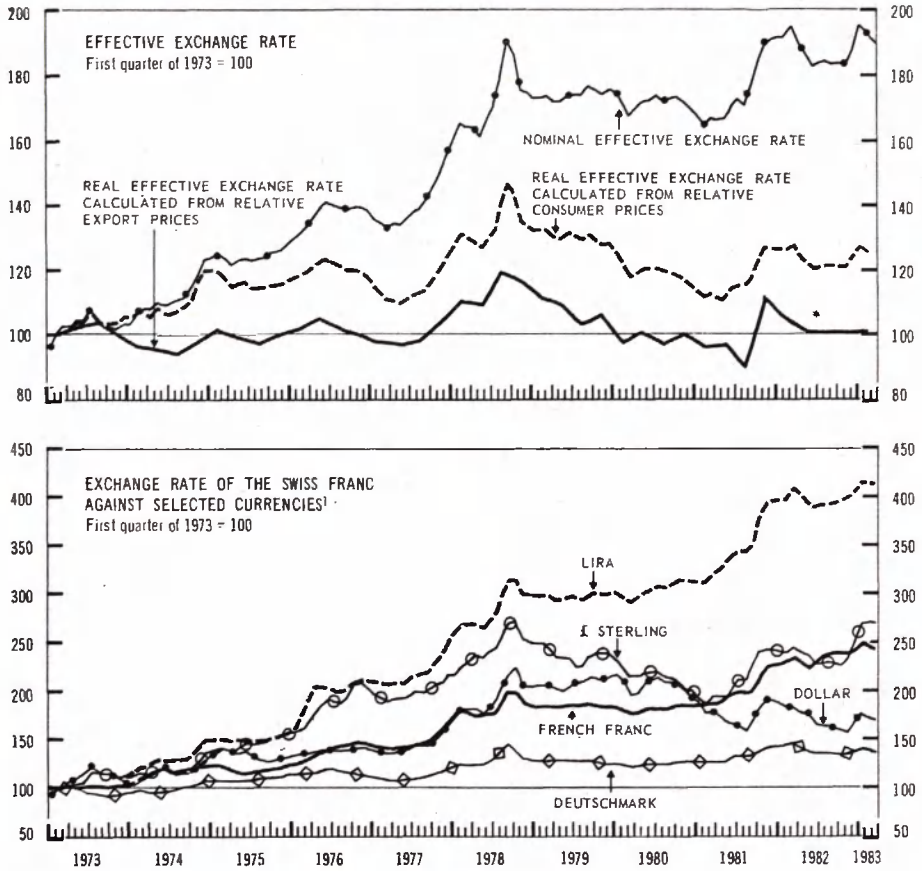
12. Over the past three years the number of nights spent in Switzerland by foreigners showed the following movement (in thousands):

	1980	1981	1982
Total	19 980	21 186	19 973
of which: Europe	15 866	16 743	15 094
United States	1 728	1 760	2 070

13. For Switzerland there are no official flow figures – that is, figures excluding exchange-rate effects – neither for the overall capital account and its major components, nor for the official external position. For monetary flows, owing to the large variations in exchange rates, this valuation effect must have been especially important last year. It is thus impossible to derive any firm conclusion concerning not only the size but also the direction of monetary flows. If these flows are estimated – as done here – on the basis of changes in stock figures expressed in dollars, the valuation effect was negative last year: it reduced the net external position of banks, giving the impression of capital inflows. On the other hand, using stock figures expressed in Swiss francs gives a positive valuation effect which improves the net external position of banks and gives the impression of capital outflows. In fact, the Swiss National Bank has recently reported that on this basis, the net external position of Swiss banks improved somewhat in 1982.

14. Also, new bank lending to non-residents requiring authorisation had to be reduced. However, some technical limitations affecting other forms of capital exports requiring authorisation were somewhat relaxed in 1982.

Diagram 3. **Exchange rate of the Swiss Franc**



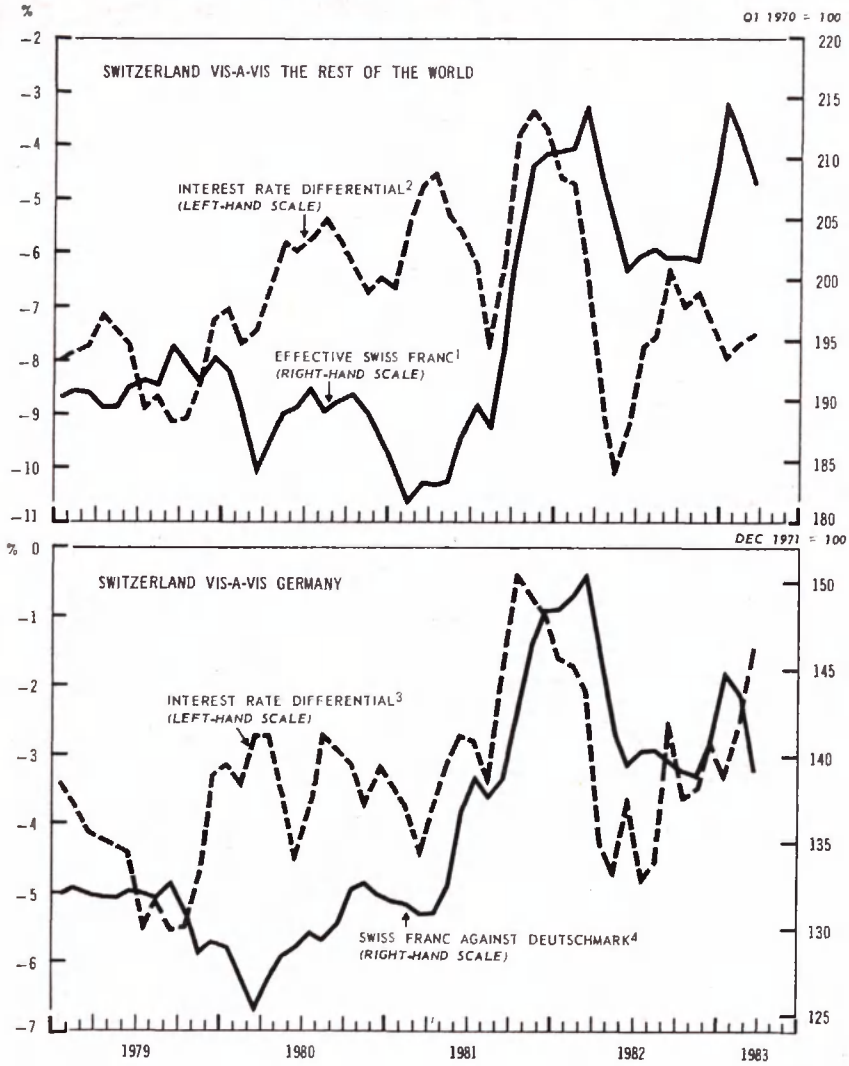
* Estimates as from second quarter of 1982. December 1982.

1. Units of foreign currency per Swiss Franc.

Source: OECD Secretariat.

The large negative swing in non-monetary capital is particularly difficult to analyse since in the case of Switzerland there are practically no figures for its components. Over the last 15 years or so, this part of the capital account has generally resulted in net inflows and the occasional outflows have never approached the level apparently recorded last year. In the late seventies, during the period of larger current account surpluses, non-monetary capital tended to play a destabilizing role, in the sense of increasing the financing need and aggravating the upward pressure on the exchange rate. On the other hand, banking flows typically recorded substantial outflows during that period suggesting, if not a stabilizing ex-ante behaviour, at least a much greater responsiveness to actual exchange-rate variations than non-monetary capital. Hence, last year these two components of the capital account switched their typical roles, non-monetary flows apparently reacting more to interest rate considerations while, as noted above, banking flows may have been particularly sensitive to the international debt crisis and considerations of safety. Despite the large current account surplus, expectations of a substantial appreciation of the Swiss franc were obviously not very

Diagram 4. **Interest rate differentials and exchange rates vis-à-vis Germany and the rest of the world**



1. First quarter of 1970 = 100.
2. Euro-currency market, 3-month deposits. Rate on Swiss franc deposits less the weighted average of rates on deposits in the other Euro-currencies.
3. Euro-currency market, 3-month deposits. Rate on Swiss franc deposits less the rate on Deutschemark deposits.
4. December 1971 = 100.

Source: OECD Secretariat.

strong, and the sharp decline in Swiss interest rates must have prompted many investors to switch into other currencies while making borrowing in Swiss francs especially attractive to non-residents. Foreign issues of bonds in Switzerland increased from a little over $8 billion in 1981 to nearly $11½ billion in 1982, the greatest activity being recorded in the first two quarters when interest differentials were moving strongly against the franc.

While in nominal terms the effective exchange rate of the Swiss franc has recently fluctuated around record levels, in real terms, that is corrected for the inflation differential between Switzerland and other OECD countries, the franc is now somewhat lower than in late 1981 and significantly below its peak of mid-1978. Thus, the international competitive position of Switzerland, which had deteriorated in 1981, improved somewhat last year and, on the basis of a real exchange rate calculated by the OECD Secretariat from relative export prices, is now broadly the same as in early 1973 at the beginning of the regime of floating exchange rates. In view of the large current account surplus, it would seem desirable that the Swiss authorities do not take action to halt any limited appreciation of the franc which could occur during 1983-84. A limited deterioration of the competitive position resulting from a variation of the exchange rate would have a positive impact on domestic prices.

II. ECONOMIC POLICY

Short-term stances

Economic policy in 1982 continued along the same lines as before, with fiscal policy aiming to hold the Confederation budget deficit to about Sw.Frs. 1 billion, whilst monetary policy was given a relatively restrictive stance: the choice of a 3 per cent target for the increase in central bank money, down 1 point from the previous year target, was intended to permit growth of the economy while reining in inflation expectations, with the latter objective being facilitated by the high level of interest rates reached at the end of 1981. The risk of a deepening of the recession in 1982 caused the authorities to ease monetary policy by stimulating money creation in the course of the year which resulted in a fall in interest rates. On the other hand, the authorities did not find necessary to put through a global programme to expand activity. The private sector crisis reserves, which represent only a small sum (Sw.Frs.180 million) were however released. All told, for 1982 as a whole, money growth was virtually on-target (2.6 per cent instead of 3 per cent), whereas in the two previous years growth of the monetary base had been far below-target. Interest rates fell very rapidly and by year-end a number of them were negative in real terms. As in 1981, the Confederation budget deficit was appreciably lower than initially forecast, and the general government and social security consolidated account is likely to have shown a surplus for the third year running. The 3 per cent growth target for the adjusted monetary base was renewed for 1983, whilst the Budget which is still oriented in the medium term towards returning to federal finance equilibrium was designed to have in the short term a moderately expansionary impact, by the vote in March 1983 of demand support measures. These, including in particular supplementary funding by cantons and communes, amount to Sw.Frs. 1.8 billion, or about 0.8 per cent of forecast GNP for 1983.

Fiscal policy

Although the 1982 Confederation budget was built on macroeconomic assumptions more favourable than the results proved to be (+ 1 per cent for real GDP, + 5 per cent for prices), the outturns on permanent operations showed a much smaller deficit than expected (Sw.Frs. 424 million as against Sw.Frs. 1.1 billion). This result, which is comparable to that recorded in the two previous years, is due to the better-than-expected yield from the anticipatory tax. Furthermore, the revenue forecast for 1982 were based on those for the 1981 budget, which had underestimated revenue by Sw.Frs. 1.3 billion.

Table 10. **Central Government budget**
SF million and percentage changes

	1980		1981		1982		1983	1982[1] / 1981	1983[1] / 1982
	Outturn	Breakdown	Initial budget	Outturn	Initial budget	Outturn	Initial budget		
Total expenditure	17 389	100	17 277	17 575	18 909	19 293	19 672	9.4	4.0
Economic classification:									
Compensation of employees	1 935	11.1	2 041	2 087	2 204	2 260	2 400	8.0	8.9
Consumption	2 921	16.8	3 051	3 113	3 356	3 446	3 494	10.0	4.1
Investment	308	1.8	322	319	338	336	331	5.0	−2.1
Interest, loans and acquisition of holdings	983	5.7	1 136	1 186	1 234	1 268	1 342	8.6	8.8
Transfers	11 242	64.6	10 727	10 870	11 777	11 983	12 105	9.8	2.8
Total revenue	16 318	100	16 103	17 402	17 805	18 869	18 710	10.6	5.1
Tax revenue	14 619	89.6	14 682	15 745	16 425	17 382	17 284	11.9	5.2
Direct taxes	5 468	33.5	5 392	6 074	6 464	7 167	6 167	19.9	4.6
Indirect taxes	9 151	56.1	9 290	9 671	9 961	10 215	11 117	7.2	11.6
Other revenue	1 699	10.4	1 421	1 657	1 380	1 487	1 426	−2.9	3.3
Balance	−1 071		−1 174	−173	−1 104	−424	−962		
As a percentage of GDP	−0.6		−0.6	−0.1	−0.5	−0.2	−0.5		

1. Initial budget on initial budget.

Since the overshoot of revenue forecasts in both 1981 and 1982 is largely attributable to the anticipatory tax[15], the Swiss authorities consider that the reduction of the deficit shown in the accounts for those two years in only temporary, as about 80 per cent of the revenue from the anticipatory tax will have to be refunded later. The expenditure outturns were only about 2 per cent above-forecast. All told, for the twelve months of 1982 Confederation expenditure grew significantly faster than nominal GNP (9.8 per cent compared with 5.3 per cent) as did revenue, although there the gap was a little smaller. By comparison with 1981 the budget deficit widened by about Sw.Frs.300 billion.

The 1982 accounts for local governement (cantons and communes) are not available yet, but partial figures suggest that, as in the case of the Confederation, the deficit will be smaller than forecast in the initial budgets, thus confirming the trend over recent years. The general government account (not including Social Security) may have produced a deficit of under Sw.Frs. 1 billion in 1982 or less than 0.5 per cent of GNP. This would be in line with the results since 1978, during which time the general government borrowing requirement has never exceeded 1 per cent of GNP. The

Table 11. General Government accounts
SF million and percentage changes

	1979 SF million	Outturns		Budgets	
		1980	1981	1982	1983
Confederation					
Expenditure	16 765	4.6	0.2	9.4	4.0
Revenue	15 050	9.4	5.7	10.6	5.1
Balance	−1 715	−1 071	−173	−1 104	−962
Cantons					
Expenditure	20 795	5.4	7.8	7.7	6.5
Revenue	20 716	5.1	7.0	6.4	6.3
Balance	−79	−163	−342	−1 250	−1 400
Communes					
Expenditure	15 473	6.5	6.8	11.3	5.3
Revenue	15 961	6.1	5.7	10.8	4.9
Balance	+488	+458	+300	−300	−400
General Government[1]					
Expenditure	44 770	5.5	5.4	9.7	5.9
Revenue	43 464	6.9	6.7	9.4	6.0
Balance	−1 306	−776	−215	−2 654	−2 762
Social Security					
Expenditure	14 011	5.6	2.3		
Revenue	14 588	7.7	6.6		
Balance	+577	+916	+1 614		
Consolidated account of General Government and Social Security					
Expenditure	55 160	5.1	4.7		
Revenue	54 431	6.8	6.8		
Balance	−729	+140	+1 399		

1. Not including Social Security.

15. Anticipatory tax is a tax levied at source on income from financial investments, lottery wins and insurance payments. The party owing the income payment has to pay the tax to the Federal tax authorities and deducts the corresponding amount from the sum paid to the creditor. The creditor may ask for the anticipatory tax to be refunded (i.e. set against cantonal and communal income and wealth tax), provided that the income subjected to anticipatory tax and the capital that produced it have been declared to the apropriate tax authorities, otherwise no refund is possible. No refund is made to income recipients domiciled abroad unless this is expressly provided for in a double taxation convention.

components of this trend have been a continuing surplus for the communes, virtual equilibrium for the cantons and a deficit of between 0.5 and 1 per cent of GNP for the Confederation. It should also be noted that the social security account has shown a large annual surplus. The unemployment insurance system which became compulsory in 1977 has had a counter-cyclical effect, being in surplus from 1977 to 1981 and then in deficit in 1982 and most probably in 1983[16].

There has been a significant change in the trend and pattern of general government expenditure and revenue since the mid-seventies. First, there has been a marked slowdown in expenditure growth. Whereas from 1960 to 1975 it was faster than GNP growth, the trend turned around as from 1975 for the finances of both the Confederation and the local authorities as a result of the public finance policy introduced for that purpose. According to official estimates, if the measures to improve the federal finance position had not been taken as from 1975, budget expenditure in 1983 could have been

Table 12. **Structural trend of public finance**

	1970	1975	1981
Lending capacity or borrowing requirement as a percentage of GNP			
Confederation	+0.2	−0.9	−0.1
Cantons	−0.3	−0.4	−0.2
Communes	−0.5	−0.4	0.2
Consolidated account	−0.5	−1.6	−0.1
	1960-70	**1970-75**	**1975-81**
Average annual change (%)			
Expenditure			
Confederation	11.6	11.8	4.3
Cantons and communes	13.0	14.3	4.3
Consolidated account	12.1	13.4	4.6
Revenue			
Confederation	9.2	9.0	5.9
Cantons and communes	12.2	14.4	4.9
Consolidated account	10.4	12.5	5.6
Nominal GNP	9.4	9.0	5.1
Elasticity of expenditure with respect to GNP			
Confederation	1.23	1.31	0.84
Consolidated account	1.28	1.49	0.90
Elasticity of revenue with respect to GNP			
Confederation	0.98	1.00	1.16
Consolidated account	1.11	1.39	1.10
As a percentage of GNP (annual average)			
Confederation expenditure	8.0	8.9	10.1
Consolidated expenditure	19.8	24.1	27.0
Confederation revenue	8.4	8.3	9.4
Consolidated revenue	19.7	22.4	26.3

16. In 1982 the unemployment insurance system deficit reached Sw. Frs 96 million, compared to a surplus of 273 million in 1981:

(Millions of Swiss francs)	1981	1982
Net contributions	384	258
Payments to unemployed	111	354
of which: Wholly unemployed	63	155
Short time workers	48	198

Sw.Frs.2.2 billion higher and revenue Sw.Frs.2.7 billion lower, which means that on spontaneous trends the Confederation deficit would have increased by Sw.Frs.4.9 billion. On the revenue side there were two trends. First, growth of general government revenue, which had accelerated sharply between 1970 and 1975, slowed down thereafter, more sharply than GNP growth and its elasticity with respect to GNP declined, from 1.4 in 1970-75 to 1.1 between 1975 and 1981. Second whereas between 1970 and 1975 local authorities' revenue grew significantly faster than Confederation revenue, with an elasticity relative to GNP of 1.6 as against 1 for the Confederation, the trend swung in favour of the Confederation finance during the period from 1975 to 1981. This second development was the result of a deliberate policy to redistribute part of tax revenue to the Confederation, mainly by way of enlarging the indirect tax base.

The Confederation budget for 1983 is consistent with the policy of ultimate return to federal finance equilibrium as defined in the financial plan for the legislature covering the years 1981 to 1983. As already mentioned, the Federal authorities consider that the good results in 1981 and 1982 were partly accidental and that the spontaneaous trend of Federal finance is still towards increased disequilibrium. The 1983 budget is built around the following macroeconomic assumptions: recovery in the growth of real GNP (1 per cent as against – 0.5 per cent in 1982), same growth of nominal GNP as in 1982 (5 per cent), stabilisation of short-term interest rates at 4 per cent. Compared with the initial budget for 1982, the 1983 budget provides for virtual stabilisation of expenditure in real terms by way of a 2 per cent reduction in investment spending, whereas expenditure on public service pays, which is largely index-linked, is set to increase by nearly 9 per cent. Transfer expenditures, which represent about two-thirds of total expenditure, are budgeted to rise by 2.8 per cent. Revenue growth, estimated at 5.1 per cent, will be mainly attributable to the higher rate of turnover tax introduced on 1st October 1982, whereas the yield from the anticipatory tax and direct federal tax will probably be down. In all, the Confederation deficit is budgeted at Sw.Frs. 962 million or ½ per cent of GNP, implying stabilisation as compared with the initial budget for 1982.

As it stands, the 1983 budget should have a virtually neutral impact on domestic demand, but it is difficult to interpret for two reasons. First, the final outturns for 1982 are rather different from the estimates in the initial budget, and if the forecast for revenue in 1983 is compared with the outturns for 1982 the increase would be practically nil, whilst on the expenditure side the difference between the reference base and the actual outturns is smaller. Secondly, the 1983 budget was drawn up on more favourable macroeconomic assumptions than those adopted subsequently[17]. The continuing deterioration in activity caused the authorities to take a number of support measures early in 1983, and these should augment the expected effects of the release of the private sector crisis reserves decided on in August 1982. The first package of measures was introduced in March and provides for the commitment of Sw.Frs. 640 million in public appropriations for expenditures answering the following requirements: orders must be put through within six months and completed within two to three years and they should preferably have a beneficial impact on the regions hardest hit by unemployment[18]. It is also intended that this financing from the Confederation will be supplemented, in particular by funding from the cantons and communes, bringing the total amount of spending to Sw.Frs.1.8 billion or approximately 0.8 per cent of forecast 1983 GNP. The

17. See Table 18. Short-term forecasts.

18. The programme will also include a number of export promotion measures such as increased financing of export risk guarantees, replenishment of resources for international development co-operation, promotion of exports and tourism by international commercial action.

second package of measures, which may be introduced during the summer, will set out to improve supply-side conditions by strengthening regional policy and stimulating innovation[19].

The demand-support measures taken in 1982 and 1983 are of limited scope and the basic aim of fiscal policy continues to be ultimate neutrality through moderation of Confederation expenditure and revenue growth and a return to budgetary equilibrium. The financial plan for the years 1984-1986 estimates that, allowing for the expansionary measures and the impact of less favourable economic conditions in 1983, the deficit might be Sw.Frs.550 million higher than initially forecast and amount to Sw.Frs.1.5 billion. Allowing for the financial rehabilitation measures already taken (new regulations for custom duties on motor fuels, surcharge on motor fuels, across-the-board reduction in subsidies) or currently envisaged (continued abolition of the cantons'shares of stamp duties and alcohol taxes, flat rate tax on heavy commercial vehicles, energy turnover taxes), the deficit might amount to Sw.Frs.1.7 billion in 1986. With a view to reducing the deficit, a number of spending cuts are under study with regard to defence expenditure, general government expenditure and development aid, and it is also planned to reduce the extent of systematic price indexation for certain items of expenditure. The effect of these measures would be to reduce the budget deficit to Sw.Frs.510 million by 1986, i.e. approximately 0.2 per cent of GNP.

Monetary policy

Whereas in 1980 and 1981 the growth target for adjusted central bank money[20], which had been set at 4 per cent, was very widely undershot in that there was a contraction of the order of 0.5 per cent in each of those two years, in 1982 the regulation of monetary base growth led to a result (+ 2.6 per cent) much closer to the initial target (+ 3 per cent). Monetary policy management proved much easier in 1982 than in the previous period. After the huge increase in liquidity in 1978 and early 1979 as a result of massive intervention by the Swiss National Bank in order to halt the franc's appreciation, a policy of liquidity contraction was applied in 1980 and 1981. Continuing inflationary pressure in fact caused the monetary authorities to tighten their policy, especially in 1981, and this was facilitated by the slower than expected growth of notes in circulation. The growth of the monetary base was thus contained. M2, on the other hand, increased significantly in 1980 and 1981, as a result of liquidity switching by agents following the rise in short-term interest rates.

The money growth target for 1982 was even more restrictive than in the previous two years (3 per cent), given that the fight against inflation remained the principal policy aim. In the early months of the year, the adjusted monetary base showed a further contraction by comparison with the same period of 1981. The combination of a high exchange rate and the continuing recession caused the authorities to ease their liquidity policy by gradually increasing the quantity of adjusted central money. As from March, it was back on its target path and over the year, it grew by 2.6 per cent. Because of the decrease of the monetary base in the winter 1981/82, the growth rate over twelve months reached 6.4 per cent in the last quarter of 1982. This trend became more accentuated at the beginning of 1983. But as central money started to grow again in the Spring of 1982, the twelve months increases could became more moderate after March

19. More detail on this aspect below.

20. The adjusted monetary base or adjusted central bank money is the monetary aggregate used since 1981 in order to define the money growth target, instead of MI. Central bank money comprises notes in circulation and the tranfer accounts of the commercial banks and industry. It is seasonally adjusted by substracting credit from the central bank to cover payments due (swaps, discounting credit and secured advances, bills issued by the Swiss National Bank and sterilisation rescriptions placed with the banks).

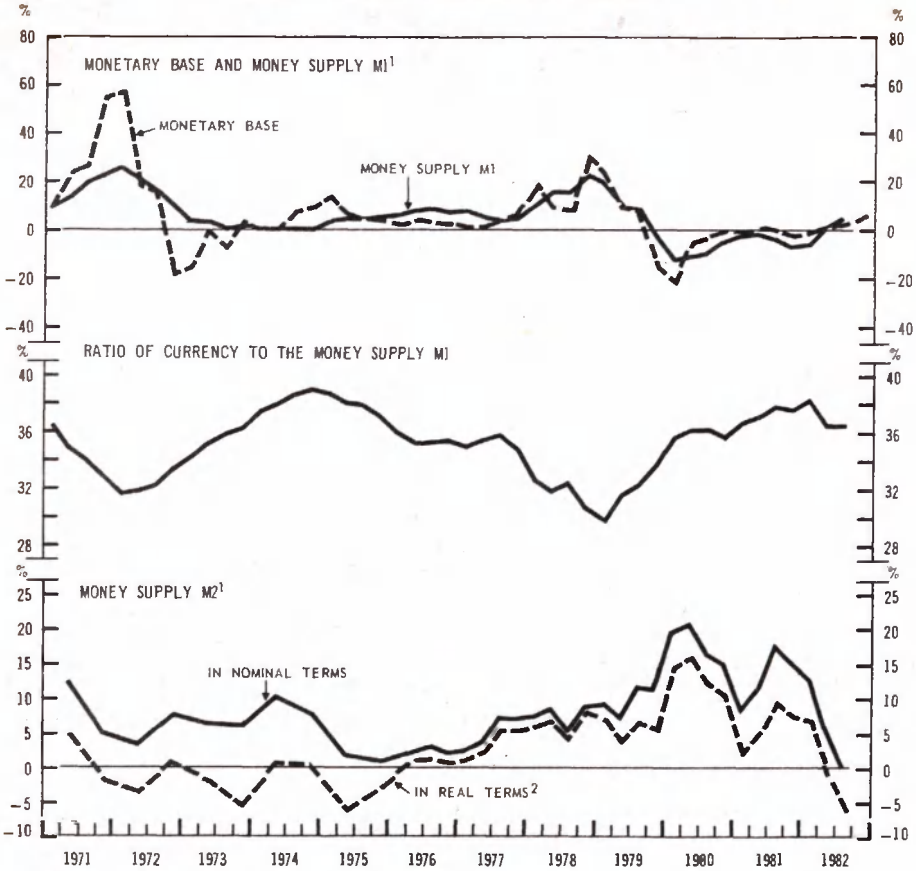
Table 13. Monetary aggregates

	Outstanding December 1981	Change in outstandings on same period of previous year Average of daily values, SF million						
		Dec. 1979	Dec. 1980	Dec. 1981	1982 March	June	Sept.	Dec.
Not seasonally adjusted								
Adjusted monetary base	28 967	−6 222	697	−1 015	97	501	1 681	2 382
Foreign assets	24 609	−12 314	−6 622	2 792	3 007	3 933	2 487	1 809
Holdings of securities	1 168	598	193	18	−188	−104	−33	90
Refinancing credit	11 798	4 013	5 713	−534	−900	−1 029	905	2 725
Credit to cover payments due by banks	−1 322	−2 306	192	−821	−440	−427	−160	−78
Other	−7 286	3 787	1 221	4 112	2 262	2 726	1 838	2 320
		Percentage change from same period of previous year, end of period						
Currency in circulation	21 304	4.0	3.0	−3.4	−1.7	0.1	2.9	5.6
Sight deposits	35 283	−12.0	−2.0	−9.0	−3.8	4.8	9.8	14.1
Money supply M1	56 537	−7.0	−0.2	−7.0	−3.0	3.1	7.2	10.9
Quasi-money[1]	67 745	72.7	37.6	37.9	25.4	2.7	−6.7	−15.5
Money supply M2	124 282	11.5	13.7	13.1	11.2	2.9	−0.5	−3.5
Savings deposits	100 216	6.0	−4.1	−5.1	−5.0	1.5	8.1	16.1
Money supply M3	224 498	8.2	4.3	4.1	3.4	2.2	3.4	5.2
Bank credit to residents[2]	198 109	9.4	13.0	10.6	8.7	5.1	4.3	3.4

1. Time deposits and foreign currency sight deposits held by residents.
2. 71 banks with assets of over SF 100 million.

Source: Swiss National Bank, *Monthly Bulletin.*

Diagram 5. **Trend of main monetary aggregates**



1. Percentage change on same period of previous year.
2. Deflated by the consumer price index.

Sources: Swiss National Bank; OECD Secretariat estimates.

1983. The decline in short-term interest rates caused a progressive contraction of M2 during the year. Growth of bank credit to residents[21] which in 1981 had still been rapid despite the slowdown in activity, slowed sharply in 1982 in keeping with the depressed state of demand.

The salient feature on the financial side in 1982 was the marked decline in interest rates and their return to a more normal level and term-structure. Short-term rates, which in 1981 had reached some 10 per cent and exceeded long-term rates by several percentage points, declined sharply in the first half of 1982 and by early this year had fallen to around 3 per cent, compared to over 4 per cent for long-term rates. Since over this period the rate of increase of prices has abated only moderately, Switzerland is now the only OECD country with interest rates – both short and long – equal or lower than the inflation rate[22]. In other words, inflation-adjusted or "real" interest rates are close to

21. Credit distributed by the 71 banks with assets of over Sw. Frs 100 million.
22. Expressed in terms of the year-over-year variation in the consumer price index.

Table 14. **Nominal and real interest rates in some OECD countries**

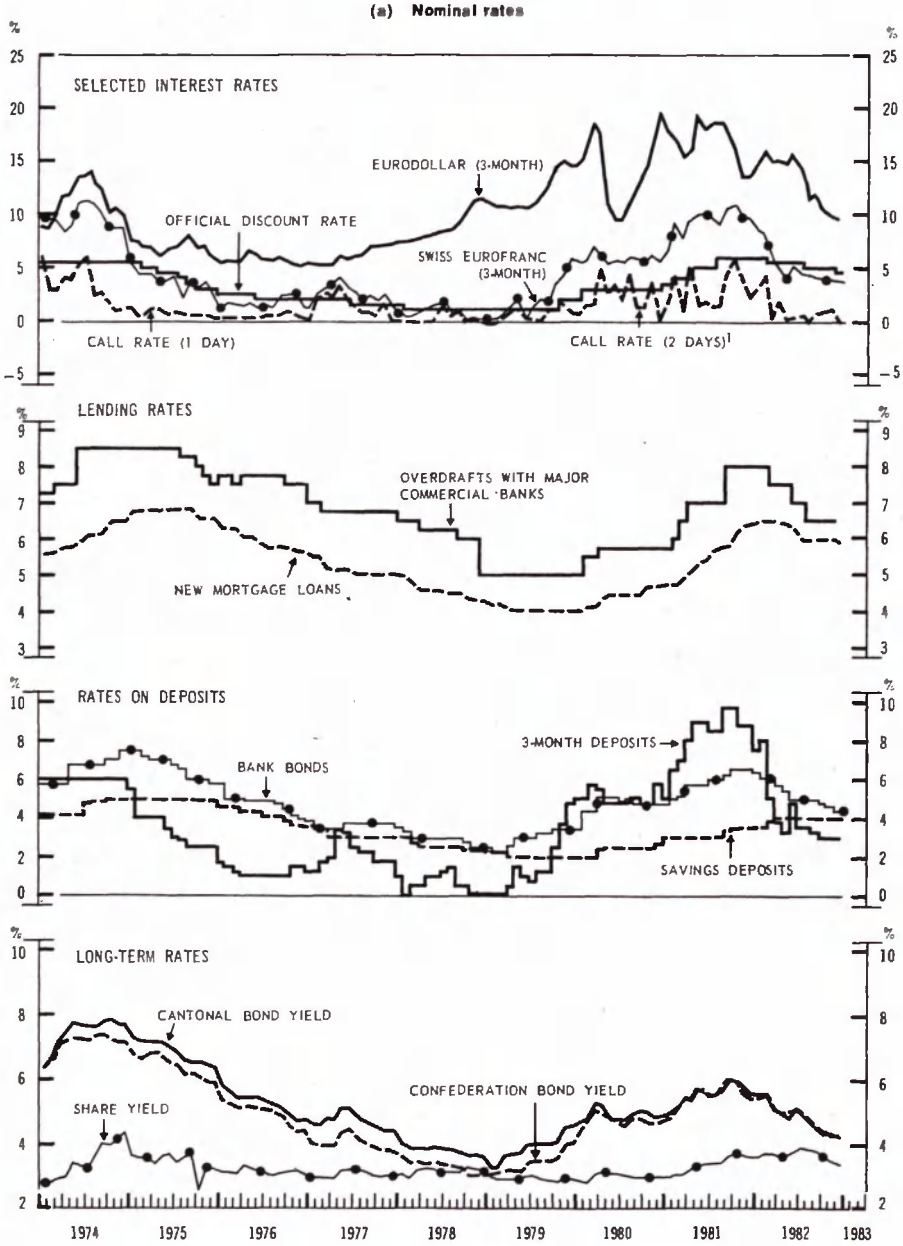
	Nominal rates					Inflation-adjusted rates[1]				
	Dec. 1979	Dec. 1980	Dec. 1981	Dec. 1982	Feb. 1983	Dec. 1979	Dec. 1980	Dec. 1981	Dec. 1982	Feb. 1983
	Short-term rates[2]									
Switzerland	4.8	6.0	8.8	3.0	2.5	−0.3	1.6	2.2	−2.5	−2.0
United States	13.3	18.1	12.4	8.7	8.6	0	5.7	3.5	4.8	5.2
Germany	9.5	10.1	10.8	6.7	5.8	4.1	4.6	4.5	2.1	2.1
Japan	8.0	9.5	6.7	6.9	6.6	2.2	2.1	2.4	5.1	4.8
United Kingdom	16.8	13.1	14.4	10.1	10.9	−0.4	−2.0	2.4	4.7	5.6
France	12.6	11.6	15.3	12.8	12.9	0.8	−2.0	1.3	3.1	3.7
	Long-term rates[3]									
Switzerland	4.1	4.7	5.4	4.3	4.2	−1.0	0.3	−1.2	−1.2	−0.3
United States	10.0	12.5	13.8	10.6	11.2	−3.3	0.1	4.9	6.7	7.9
Germany	8.1	9.1	10.0	7.5	7.2	2.7	3.6	3.7	2.9	3.5
Japan	8.6	9.2	8.1	7.7	7.6	2.8	1.8	3.8	5.9	5.6
United Kingdom	14.6	13.8	15.8	11.4	11.6	−2.7	−5.9	3.8	6.0	6.3

1. Nominal rates less the annual change in consumer prices.
2. Domestic rates, three-month, in general.
3. Government bond rates, in general.

Sources: OECD, *Monthly financial statistics;* Secretariat.

Diagram 6. **Interest rates**

(a) Nominal rates

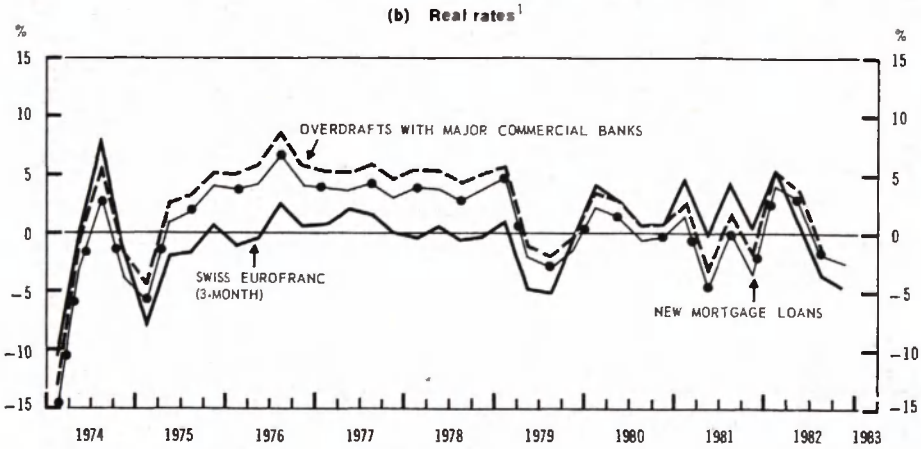


1. Break in series; 2-day call money rate from January 1977, Euro-franc market.

Sources: La vie économique : Swiss National Bank; OECD, *Monthly Financial Statistics.*

Diagram 6. (continued) **Interest rates**

(b) Real rates[1]



1. Nominal rates deflated by the consumer price index.

Sources: Swiss National Bank; OECD Secretariat.

zero or negative[23]. Even more striking, perhaps, real long-term rates have remained close to zero throughout the last few years of world-wide inflation and monetary turbulance. As for nominal short-term rates, in view of the modest improvement of the price performance, the speed of their retreat from the peaks of 1981 and their fall to levels well below those prevailing in foreign financial centres also looks remarkable, and suggests that in Switzerland the external constraint did not play a major role – a point discussed elsewhere in this Survey.

Two sets of factors, one domestic one external, may help explain the behaviour of real long-term interest rates. On the internal side, the prompt and vigorous tightening of monetary policy in response to the acceleration of inflation in 1981 apparently prevented inflationary expectations – which are generally considered to require a rather long formation period – to become imbedded in the economy and add an inflationary premium to nominal long-term interest rates. This insulation of the economy from inflationary expectations may have been enhanced by the high degree of "credibility" of the monetary authorities. Unlike in other OECD countries, in Switzerland not even at their peak in 1981 did long-term rates (on Government bonds) clearly exceed the rate of inflation. Moreover, the turning point in long-term rates practically coincided with the turning point in money market rates and inflation, without the substantial lags often evident in other countries. In this respect, external factors certainly played a major role. The sharp increase in short-term rates in 1981 was accompanied by a strong appreciation of the franc which in a very open economy like the Swiss one was quickly reflected in a deceleration of the progression of prices. Moreover, the return of interest rates to the low levels of a few years ago has not seriously affected the exchange rate, accusing little, if any, depreciation-induced inflation. The large unfavourable interest

23. Conceptually, real interest rates are equal to nominal rates minus the expected rate of inflation. In practice, since expected inflation cannot be measured, real expected interest rates are often proxied by real *ex-post* rates, calculated as nominal rates minus the observed inflation rate. For illustrative purposes, Table 14 shows the results of such a calculation of inflation-adjusted or "real" *ex-post* interest rates, using the consumer price index as the measure of inflation.

differentials which have opened-up seem to have been largely offset by a positive evolution of expectations, possibly related to the widening of the current account surplus and growing confidence in the economy and the currency.

For practically all OECD countries other than the United States, over the last few years the necessity to support the exchange rate and prevent excessive depreciation-induced inflation has been an important constraint on the conduct of economic policy in general and monetary policy in particular. Since late 1980, tight monetary conditions in the United States and a very strong dollar have left little room for manœuvre to other monetary authorities, at times confronting them with a difficult dilemma situation. It might be of interest to consider briefly the case of Switzerland and compare it with the experience of other countries[24].

Table 15. **Interest rates and exchange rates in some OECD countries**

	From June 1980 to beginning July 1982			From beginning July 1982 to mid-March 1983		
	Interest rates[1]	Exchange rate against $[2]	Effective exchange rate[3]	Interest rates[1]	Exchange rate against $[2]	Effective exchange rate[3]
United States	7.2	—	31.5	−6.6	—	−1.8
Germany	−0.4	−28.5	−0.6	−4.0	3.1	4.0
Japan	−5.5	−15.5	2.6	−0.3	8.1	7.4
France	2.3	−40.1	−17.2	−1.7	−0.3	−1.2
Italy	3.1	−39.7	−17.2	−1.2	−2.2	−2.8
United Kingdom	−3.6	−26.0	−1.7	−1.3	−13.0	−12.7
Canada	4.5	−10.8	1.5	−7.7	5.3	5.2
Switzerland	−0.8	−22.6	6.3	−1.3	2.7	3.4

1. Short-term interest rates (three-month in general); change in percentage points.
2. Exchange rate expressed in US cents per unit of foreign currency; percentage change.
3. Percentage change.
Source: OECD Secretariat.

As a broad generalisation the response of the Swiss monetary authorities to external pressure and especially to the rising dollar has been similar to that of other monetary authorities. Domestic monetary conditions have been cautiously adjusted but to a large extent the exchange rate has been allowed to bear the brunt, especially in the short term. However, the external constraint seems to have played a significantly smaller role in Switzerland than in other OECD countries. True the franc, in line with other major currencies, has depreciated vis-à-vis the dollar, but in Switzerland no other policy variables have been used to alleviate exchange-rate pressure: the National Bank has not dipped seriously into its official reserves and borrowing abroad has not been relied upon – neither directly nor indirectly. More relevant perhaps, in Switzerland the stance of monetary policy and interest rates seem to have remained basically related to domestic requirements and have been affected less than in other countries by the pull of

24. As shown in Table 15, the movement of short-term interest rates in major financial centres has been considerably more synchronised in the present phase of declining United States rates, than in the previous phase (from mid-1980 to mid-1982) of rising and high United States rates. It is striking to note that all countries shown in the table have now lower rates than last summer, even though, with the exception of Canada, no country has come close to matching the decline in United States rates. This may be an indication that monetary policy was indeed constrained by external consideration. But it also suggests that monetary authorities, the Swiss ones included, were especially eager to see an improvement of their interest differentials vis-à-vis the United States and a correction of their dollar exchange rates.

United States rates. That the resulting sharp variations in interest differential had only a limited impact on the franc is further evidence that in Switzerland the relationship between interest rates and the exchange rate is especially lose – except in extreme cases, such as in late 1981-early 1982[25].

Among the factors which over the last few years have allowed Switzerland to decouple to such an extent its interest rates from foreign rates the following may have been especially important. Following the second oil shock the current account deteriorated but after a very small deficit in 1980, it rapidly moved back in substantial surplus. The Swiss authorities reiterated their unequivocal priority to the fight against inflation. Given, the special position of Switzerland with respect to unemployment, its historical record of price stability and the vigorous monetary tightening of late 1981, "credibility" of the authorities was certainly high. This probably enhanced the effectiveness of policy and increased the traditional international attractiveness of the Swiss franc. Finally, since for Switzerland the share of trade with the United States is lower than for many other OECD countries, for a given depreciation in effective terms, the franc will record a smaller depreciation in effective terms, implying, other things being equal, a smaller impact on inflation and hence a weaker external constraint.

Other recent economic policy measures

Among various economic policy measures implemented in 1982, an important one is the increase in the maximum period of benefit for partial unemployment from 12 to 18 months, in order to reduce the negative impact of the recession on households income. In addition, the maximum number of days of unemployment benefits in one calendar year was raised from 150 to 180 days for wage earners older than 55 years, invalids as well as for inhabitants of hardest hit regions. Finally, a larger protection was given for insured persons against employers' bankruptcy risk. Given unfavourable economic prospects, the quota of seasonal workers and foreigners with a yearly or temporary status have been temporarily reduced to 90 and 50 per cent respectively, between November 1982 and April 1983. Between April and October 1983, the quotas have been reduced to 95 per cent for seasonal workers and to 75 per cent for foreigners with yearly status.

Some structural policy aspects

Since the first oil crisis, activities have been substantially restructured. This was necessitated both by the Swiss franc's appreciation – which was inhibiting the external and domestic competitiveness of Swiss-made goods and by the shifts in world demand against a background of slower growth and keener international competition. This restructuring was to a large extent due to the initiative of businessmen, but the government encouraged it by introducing a number of specific measures which have been analysed in earlier Economic Surveys of Switzerland[26].

In 1982, the Federal Chambers adopted a series of measures called the second "impetus" programme, which, in line with the programme adopted in 1978, aims at increasing the strength of the economy by acting on the supply side and promoting structural adjustment. The measures taken are to accelerate the spreading of new technological processes and widen the basis of research in new fields. This should make it possible to compensate for the reduction in activity in some sectors. The main fields to which the Government aid will apply are the following: training in microprocessing for

25. As shown in Chart 4, variations in the interest differential vis-à-vis Germany were nearly as large as those in the differential vis-à-vis all major financial centres combined.

26. See in particular the OECD Economic Survey of Switzerland, April 1979, pages 44 to 47, and the updating of these measures in the October 1980 Survey, pages 44 and 45.

management application (Sw.Frs.13 million); training in machinebuilding, in particular computer controlled (17 million); incentives for technological development in measurement and control apparatus (6 million); development of construction techniques (15 million). In early 1983, the Swiss Federal Council put before the Federal Chambers a whole package of new measures designed to strengthen the country's production potential in both the short and the medium term.

Regional aspects

The problems of industrial restructuring largely overlap, in Switzerland as in many of the OECD industrialized countries, with regional problems: the regions whose economies are under threat and which have the highest full-time and particularly partial unemployment are also those which are one-industry regions, in Switzerland's case predominantly watchmaking. The aim of the Federal Order of 6th October 1978 was to provide these regions with financial assistance to promote the diversification of industrial activities. The Cantons in difficulty could obtain financial aid in the form of a guarantee of up to one-third of the value of the projects and in the form of tax reliefs. From the entry into force of the Order (March 1979) to the end of 1982, 84 applications were accepted, of which 69 from the watchmaking regions. Total aid, of various forms, amounting to some Sw. Frs. 90 million was extended. Most of the projects were for the establishment of new activities (electronic and electrical machinery and apparatus, processing of synthetic materials) in regions where watchmaking was the predominant activity.

The incentives certainly had positive effects but they fell short of the problems. This is why the Federal Council, after taking stock of the impact of the October 1978 Order to date, which it did during 1982, felt, as did the Cantons concerned, that it needed revision. The broad lines of the draft revision consist in making regional aid facilities both stronger and more flexible. In particular, aid for interest payments is distributed more generously and the guarantee can be for as much as two-thirds of the value of projects. But above all the revision concerns the end-purpose of aid: priority is given to job-creating projects and those that have positive technological impacts on other firms in the region (microelectronics, biotechnology). Furthermore, incentives for "technical consultancy" are given to firms, especially small and medium size firms which have no research departments. The reasoning here is that small firms are reluctant to embark on research into new techniques because of the major financial risks involved: this is indeed why the watchmaking industry, which is traditionally made up of family firms, was left behind when the quartz watch came in. Consultancy bodies at regional level will accordingly be set up or expanded. Research will systematically be encouraged, whether fundamental or applied. The Confederation and the Cantons will share the financing of these consultancy bodies.

Special provisions aim at encouraging investment in the mountain regions. A central feature of the scheme is the Federal Act on Investment Aid in the Mountain Regions (LIM) which dates back to the mid-1970s. The Confederation is to contribute Sw. Frs 500 million to a fund to finance investment aid. In 1982 Sw. Frs 325 million had already been allocated to this fund so that about one thousand projects could be financed. The last payment should be made in 1985. The draft revision of the LIM sets out a new timetable, extending the period to 1994, and brings the sum covered to a total of some Sw. Frs 1.2 billion. The appropriations should be used to finance almost 5 000 projects.

Finally, along the same lines, proposals have very recently been made to strengthen the economy of the Jura area. A co-ordinating body was set up in May 1982, comprising representatives of the Federal government and the watch-making Cantons and towns of

the Jura region. In February 1983 this body put forward a number of proposals[27] with a view to strengthening the region's potential, hard hit as it has been by the crisis since the early 1970s[28]. One of the aims of these proposals is to end the exclusively watchmaking "vocation" of the Jura region by providing for the redeployment of workers and firms to other types of activity (special courses for employed or unemployed manpower, development incentives for small and medium firms, and so on).

A draft law providing incentives for innovation is at present under consultation with partis, economic associations and cantons. The measures included in this draft should, make possible and profitable a wider application of results obtained by research, development and training. They include partial funding by the government in innovating sectors and promote cooperation between banks and innovation advisors assisting specialists of small and medium size enterprises.

Sectoral aspects : the textile industry

As stated earlier, even though the Confederation has made an appreciable effort in the field of industrial restructuring, and indeed is stepping it up, the fact remains that it is private initiative that has largely been responsible for the sectoral redistributions that have taken place in Switzerland since the first oil shock. These redistributions are substantial and some of them have turned out differently from what was expected only a few years ago. In connection with this, it will be interesting to recall the conclusions of a study carried out by the ICME of Zurich and Basle University[29] the findings of which seem partly in question five years later; this is further proof of the speed with which the Swiss economy has adapted.

The study identified four groups of industries according to their dregree of redeployment, particularly in terms of output growth and foreign market performance. The industries that turned in the best performances included chemicals and tools. The second group, where the results were fair, included food, printing and wood; the main industry in the third group, where performances were poor, was watchmaking; finally, the worst results were obtained in textiles and clothing. Circumstances have changed in five years and a number of adjustments to the analysis are called for. If 1975 is taken as the base year 100, (i.e. the low-point of the recession following the first oil shock), it can be seen that textile production stands at 118 and clothing and underwear at 112 in 1981 whereas machinery and appliances, traditionally the most dynamic sector, stands at 102 and watchmaking and jewellery at 72. It is true, however, that analysis using a much

27. Propositions pour renforcer l'économie de l'aire jurassienne, Bern, February 1983.

28.

	All Switzerland	Jura region
	1980/1970 Percentage change	
Resident population	+1.5	–5.8
Labour force	+3.4	–9.5
	Position of the different sectors in 1980 (as a percentage of total jobs)	
Primary sector	6.1	5.6
Secondary sector	38.9	51.8
Tertiary sector	55.0	42.6

Source: op. cit.

29. Structural Changes in Swiss Industry, 1968-1978 (Industrial Consulting and Management Engineering Company, Zurich, and Institut de Recherche Économique Appliquée, Basle, August 1978). This study is a contribution to UNIDO'S work on structural changes.

Table 16. **Output, employment and productivity in the main industrial sectors**
Average annual growth rate

	Industrial production					Employment					Productivity (output/employment)				
	1973/1963	1975/1973	1979/1975	1981/1979	1982/1981	1973/1965	1975/1973	1979/1975	1981/1979	1982/1981	1973/1965	1975/1973	1979/1975	1981/1979	1982/1981
Food, beverages and tobacco	4.4	−5.4	2.5	2.6	0.6	−0.4	−3.9	−0.6	0.1	−0.4	4.8	−1.6	3.1	2.5	1.0
Textiles	1.4	−9.6	4.5	−0.4	−2.7	−3.6	−9.3	−2.7	−1.5	−4.0	5.2	−0.3	7.4	1.1	1.3
Clothing. etc.	1.0	−5.4	2.8	1.3	−4.2	−3.8	−10.2	−3.7	−2.7	−3.1	5.0	5.3	6.8	4.1	−1.1
Wood, wood products	2.9	−11.5	3.0	0	−7.9	−0.6	−7.8	−1.3	1.8	−1.9	3.5	−4.0	4.4	−1.8	−6.0
Graphic arts	4.6	−8.8	−0.9	8.2	4.0	1.1	−3.3	−0.6	1.3	−3.8	3.5	−5.7	−0.3	6.8	7.8
Chemicals, oil refining	8.7	−5.1	6.5	2.8	−1.2	3.0	−0.3	−1.1	0	−1.9	5.5	−4.8	7.7	2.8	0.7
Metals	4.5	−13.2	4.4	1.6	−7.6	−0.6	−5.1	−1.3	1.4	−1.2	5.1	−8.5	5.8	0.2	−6.4
Machinery, instruments, vehicles	5.4	−2.5	−0.8	5.6	−5.1	0.2	−1.3	−1.4	2.3	−3.0	5.2	−1.2	0.6	3.2	−2.1
Watches and clocks	5.3	−9.3	−5.9	−3.6	−32.7	−0.4	−8.5	−4.1	0.4	−12.0	5.7	−0.9	−1.9	−4.0	−20.7
All industry	4.8	−5.9	2.1	2.9	−4.0	−0.3	−6.1	−1.6	1.5	−3.0	5.1	0.2	3.8	1.4	−1.0

Sources: La vie économique; Federal Statistics Office, *Reflets de l'économie.*

longer run of data (1965-1981) suggests that trends have been more gradual, the levelling-off in textiles and clothing having occurred before the crisis, perhaps with some catchups since.

Activity in the textiles and clothing sectors have nonetheless picked up recently, probably because of the big investments made after the 1974-75 recession: manufacturers scrapped old machinery on an massive scale and invested in labour-saving plant. In addition, they began to specialize in up-market products, ranging from luxury yarns and fabrics and clothing to industrial fabrics (e.g. tent canvas). This reorganisation of the textiles and clothing industries was accompanied by significant productivity advances, particularly during the period 1957-1979. By contrast, in the machinery and appliances sector the same period saw minimal productivity gains (with some catchups since), whereas productivity in watchmaking plummeted.

All in all, the textile and clothing industries in Switzerland are an example of the rapid adjustment of sectors in the face of keener international competition. The adjustment was made virtually without government assistance (whereas in many OECD countries the authorities have intervened, sometimes on a massive scale, in particular to subsidize retention of labour) but the trade associations participated in it directly. The restructuring was accompanied by a marked reduction in workforces which went hand in hand with a substantial increase in productivity, particularly in the period between the two oil crises. Clearly, the existence of a large foreign labour supply, which was sharply reduced between the two oil crises, enabled this adjustment to be made without appreciably increasing unemployment, at least until very recently.

Another lesson to be learned from the textiles and clothing industries is that the redeployment to new activities took place against a background of greater international involvement: both imports and exports grew at a very rapid pace during the 1970s[30]. Today, the share of exports and imports in total output are probably the highest among the OECD countries. Furthermore, there was an improvement in the export/import ratio for textiles between the two oil crises. whereas most European countries showed an opposite movement[31] – the notable exceptions being Portugal and Spain.

Energy problems and policies

It was in the mid-1950s that the authorities began to take steps to shield Switzerland from cyclical or unforeseeable swings in energy supplies: in 1955, under a constitutional decision, a system of energy stocking was set up, along with a plan for

30. Percentage share of exports and imports in output in the textiles industry: 1970 and 1979.

	1970	1979
Imports/output	36.3	44.5
Exports/output	41.8	57.1

Source: Schweizerisches Institut für Aussewirtschafts, *Struktur und Marktforschung an der Hochschule St. Gallen.*

31. Export/import ratio in the textiles industry.

	1973	1979
Switzerland	*127*	*135*
Belgium/Luxembourg	167	152
France	121	88
Germany	111	94
Italy	169	163
Netherlands	118	104
United Kingdom	80	72
Spain	95	189
Portugal	292	310

emergency distribution. In 1962, as part of this system, it was decided to raise the level of petroleum product stocks to at least the equivalent of six months' consumption. In 1982, this requirement was extended to coal stocks, whereas the level of stocks of nuclear fuel was raised to the equivalent of one or two years' consumption. The stocking system has not yet been extended to natural gas, but the Swiss authorities are currently thinking of doing so, and also of including wood in emergency reserves.

Table 17. **Indicators of the energy sector**

Average annual change (%)	1973-80		1980-81
Total primary energy requirement (TPER)	0.63		−0.84
GDP	0.32		1.93
Total final consumption	−0.55		−4.32
TPER/GDP ratio	0.30		−2.72
Elasticity[1]	1.95		−0.43
Energy production	4.37		7.13
Net oil imports	−1.99		−9.92
Oil consumption	−2.31		−7.91
Final energy use by sector (Mtoe)	**1973**	**1980**	**1981**
Industry[3]			
Energy	4.80	4.51	4.55
of which: **Oil**	3.73	2.84	2.71
Other sectors of activity[3]			
Energy	8.51	8.22	7.38
of which: **Oil**	6.55	5.69	4.74
Transport			
Energy	4.29	4.21	4.29
of which: **Oil**	4.12	4.03	4.11
Electricity generation	8.74	11.42	12.23
of which: **Nuclear**	1.48	3.37	3.57
Hydro-electric, geothermal	6.84	7.96	8.56

1. Growth of TPER divided by growth of GDP.
2. Including non-energy use.
3. Construction, distributive trades, public sector and agriculture.
Source: OECD, International Energy Agency.

Since the first oil crisis the authorities' policy has been aimed at reducing the country's oil dependence and curbing energy consumption. They have tried to reduce oil dependence mainly by developing electric power. During the period 1973-1981 electricity consumption grew by 3 per cent per year, as against an annual average of 0.5 per cent for GDP. Most of electricity is still generated by hydro-electric power stations (88 per cent in 1973, 70 per cent in 1981) but the share of nuclear-based electricity has more than doubled over the period (from 12 to 30 per cent). Gas and coal use has also been encouraged.

A number of decisions have been taken on the energy conservation front (e.g. maximum temperatures laid down for the heating of public buildings). Various regulations have been introduced to improve the insulation of private buildings and reduce motor vehicle fuel consumption. A series of measures has also been taken to inform and motivate the public (such as courses designed for technicians) at both Federal and Canton level. However, it should be remembered that energy prices are not controlled in Switzerland and reflect domestic costs and world price trends. Switzerland, nevertheless, has a system of highly differentiated taxes, mainly in the form of

customs duties. The duties are, for example, very high on gazoline and heating fuel (43 per cent), much lower on gas oil (15 per cent) and minimal on gas (0.5 per cent).

The policy of energy diversification and conservation pursued since the first oil crisis has had some positive results. Domestic supplies of energy, which accounted for 36 per cent of the total at the beginning of the first oil crisis, reached 50 per cent in 1981. At the same time there was a marked decline in the share of oil in total energy demand (63 per cent in 1973, 48 per cent in 1981) and in the elasticity of oil consumption – as in most OECD countries: whereas, in 1973-1981, GDP growth averaged 0.5 per cent, total energy consumption grew by 0.4 per cent and oil consumption declined by 3 per cent.

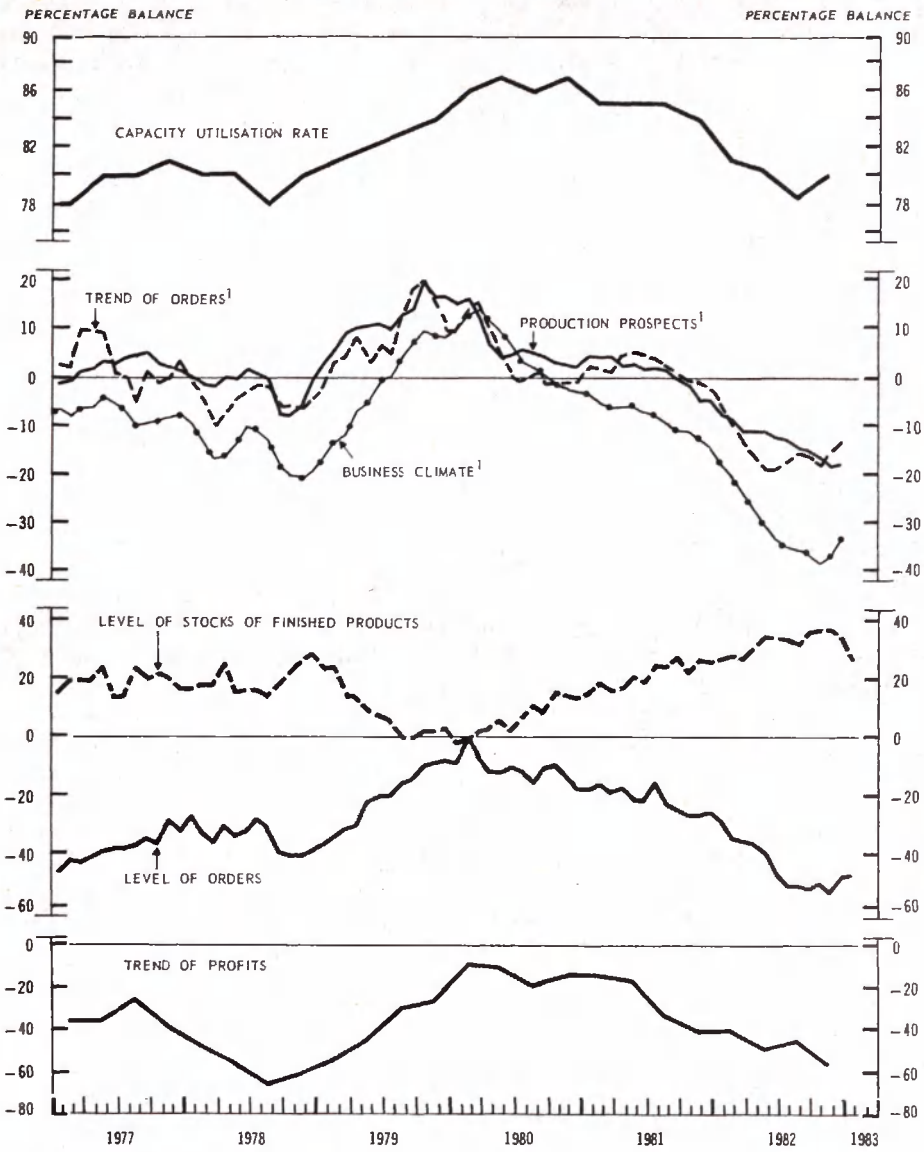
III. SHORT-TERM FORECASTS

These forecasts were made at the beginning of the Secretariat's spring forecasting round. They therefore take account of a number of recent world economic developments as well as of the provisional estimates made of their effects on the forecasts for 1983 and 1984. The main technical assumptions underlying these forecasts are the following: the exchange rates used are the average for the week of 21 to 30th March, which gives a rate of Sw. Frs 2 per dollar for the forecasting period (virtually identical with that for 1982) and an appreciation of the Swiss franc's effective exchange rate of 1.8 per cent on 1982; the average price for the year of $29.70 per barrel was used for oil imports into the OECD area[32]; finally, it has been assumed that Swiss markets will be stable in 1983, which, given the fall in the second half of 1982, implies a 4 per cent growth at an annual rate in the second half of 1983. In 1984 the growth of manufactures markets could be about 5 per cent.

The Swiss economy could reach the low-point of its cycle in the first half of 1983; however, the upturn in activity which could occur in the second half of the year might be rather small, and the possibility that activity will continue to be flat for a certain time cannot be totally ruled out. Given the trend of economic activity in 1982 and early 1983, even on the assumption that it picks up slightly in the latter part of the year, GDP growth could remain negative in 1983. Year on year, final demand could mark time in 1983 after declining 1.3 per cent in 1982. Private consumtion is unlikely to grow by any more than ¼ per cent this year; indeed, given the already perceptible slowdown in inflation between 1982 and 1983, the growth of wage incomes, since they are indexed on 1982 prices, could accelerate in 1983; however, apart from the fact that indexation appears not to have been applied as to 100 per cent, the wage bill will be negatively affected by the fall in employment and, assuming a stable savings ratio, growth of private consumption will be extremely moderate. During the greater part of the year productive investment could show a further decline. However, the combination of extremely low interest rate levels, the improvement in the international economic outlook and demand-support measures could have a stimulative effect on investment in the second half of the year and limit its decline to an annual average of less than 2 per cent. As regards residential investment, the outlook is still uncertain but the fall in interest rates

32. To a large extent Switzerland purchases its oil on the spot market and as refined products. Prices on the spot market, which fluctuate widely, have started to fall before OPEC prices, which resulted in a significant fall of energy prices in Switzerland from the end of last summer to February 1983. But given previous increases, they are at their level of a year ago.

Diagram 7. **Indicators of economic activity**



1. 3-month moving average.

Source: OECD, *Main Economic Indicators.*

and the small number of vacant dwellings could cause an improvement in the course of the year. Government consumption could be stimulated by the delayed effects of indexation in a period of falling inflation and grow about 3 per cent by volume. In 1984, the pick up in activity should continue, with domestic demand growing at more than 2 per cent.

The short-term outlook for foreign trade is not very promising. The most recent figures show that there has been no turnaround in the trend of exports; in the first

Table 18. Short-term forecasts
Percentage change

	1981 Current prices SF billion	1982	1983[4]	1984[4]
Demand and output (by volume)[1]				
Private consumption	115.8	−1.0	0.2	1.0
Public consumption	23.5	1.9	3.0	2.3
Gross fixed asset formation	44.9	−3.4	−2.0	3.1
Construction	30.8	−1.9	−1.5	3.2
Machinery and equipment	14.1	−6.0	−2.5	3.0
Final domestic demand	184.1	−1.3	0	1.7
Change in stockbuilding[2,3]	3.3	0.6	0.1	0.5
Total domestic demand	187.4	−0.7	0.1	2.1
Exports of goods and services	69.1	−3.6	−1.0	3.2
Imports of goods and services	70.9	−2.1	0	3.8
Change in foreign balance[2]	−1.8	−0.6	0.3	−0.3
Gross domestic product	185.6	−1.3	0.3	1.8
Industrial production	—	−4.0	−2.0	3.5
Prices				
GDP implicit price deflator	—	6.7	4.3	3.5
Consumer price index	—	5.7	3.5	3.0

1. At 1970 prices.
2. As a percentage of previous year's GDP.
3. Including statistical adjustments.
4. OECD Secretariat forecasts.
Source: Swiss National accounts and OECD Secretariat estimates.

quarter export volumes fell 5 per cent on the same period of 1982. Switzerland's markets are expected to grow by 4 per cent at an annual rate in the second half of the year, but, apart from the fact that this growth is still very uncertain, there might be some delay before the effects work through to exports. Exports of services, half of which are accounted for by tourism, will probably also continue to be affected by the standstill, if not decline, in purchasing power in Switzerland's traditional client countries. Year on year, exports of goods and services could show a further volume decline, of 1 per cent then increase by 3¼ per cent in 1984. The continuing sluggishness of aggregate demand will probably cause imports to stagnate in 1983, the marked fall in the second half of 1982, being followed by a pick up due to a possible rebuilding of stocks of raw materials and semi-manufactures in the second half on the year. The foreign balance's contribution to growth could thus be negative and entail a decline in GDP. In 1984, with imports growing at a fast rate, the contribution could be again negative. All in all GDP could grow at nearly 2 per cent. The trend in output will bring about a further fall in employment this year, possibly to the extent of some 20 000 persons. But the labour force will probably show a further decline, because in particular of the adjustment of the number of frontier or seasonal workers, with full-time unemployment reaching an annual average of 30 000 persons, or about 1 per cent of the labour force, and the level of partial unemployment remaining high during much of the year. In 1984, the labour market situation should improve markedly and the unemployment rate fall back to ½ per cent of labour force.

The slowdown in prices which began last autumn will probably continue in the coming months. On the basis of the exchange-rate and oil-price assumptions, import prices should again have a moderating effect on domestic inflation in 1983. It is also

expected that the growth of employees' earnings will slow compared with 1982 (to 4½ per cent from 6 per cent), particularly since indexation does not appear to have been applied in full. The rise in consumer prices could come down to an annual average of about 3½ per cent this year and 2½ per cent in 1984. The expected recovery of the real foreign balance, combined with an improvement in the terms of trade as a result notably of the fall in oil prices, could cause the trade deficit to narrow by about $0.7 billion between 1982 and 1983. The invisible surplus could remain stable, and, all told, the current account may show a surplus of the order of $3.7 billion in 1983, or about 3½ per cent of GNP; then with the foreign trade deterioration in 1984, the current account surplus could fall back near its level of 1982.

IV. ECONOMIC POLICY CONCLUSIONS

Despite a marked downturn in activity, the Swiss economy's performance remained one of the best in the OECD area in 1982, particularly with regard to inflation and unemployment. In the wake of the second oil shock the acceleration of prices began later and was less pronounced than in many other countries, but whereas a marked slowdown in inflation was expected at the beginning of 1982 it did not occur until the fourth quarter. Economic activity was affected firstly by the depressed international climate, the impact of which was amplified by the appreciation of the Swiss franc's effective exchange rate between mid-1981 and mid-1982, the result being a significant decline in exports of goods and services in the second half of 1982 and the early part of 1983. Secondly, economic policy, which had been tightened in 1980 and 1981 in order to dampen inflationary expectations, contributed to restrain the development of domestic demand. All told, GDP fell by about 1.3 per cent in 1982 and the downtrend has probably continued into the early part of 1983, the result being a fall in employment and a rise in unemployment. However, the unemployment rate, at 1 per cent of the labour force, is still very moderate indeed.

The economic policy applied during the last few years has shown flexibility of adjustment while preserving the same medium-term aims. Monetary policy is designed to contain inflation and, in some degree, to reduce exchange rate fluctuations by way of controlling the rate of money creation. Following its massive intervention in the exchange market in 1978-1979 in order to halt the franc's appreciation, the Swiss National Bank endeavoured as of 1980 to mop up the liquidity thus created by setting moderate annual targets for central bank money growth (4 per cent). These aims were more than met, since in 1980 and 1981 the amount of central bank money remained stable, its creation rate having been correspondingly curbed as inflationary pressures emerged. In 1982 the authorities relaxed monetary policy in the course of the year when the risk of a deepening of the recession became apparent and then as inflation slowed down. This easing of stance showed itself in a much more rapid fall in interest rates than occurred internationally, so that real rates became negative at the end of the year. Fiscal policy in recent years has remained geared to the aim of medium-term equilibrium of the Confederation budget. As was the case with monetary policy, the fiscal objectives were more than achieved in the short term, since the Confederation budget was in balance in 1981 and the deficit in 1982 was less than half the figure forecast in the initial budget, the result being that the general government account was virtually in equilibrium. This situation enabled the authorities in 1982 to embark on a course of action to support activity by releasing the crisis reserves, and at the beginning of 1983 to introduce a programme of demand support by way of an increase in public expenditure, equivalent to about 0.8 per cent of GNP.

It is worth considering the factors that have enabled Switzerland, with its high degree of external dependence, to apply its economic policy so flexibly while keeping the medium-term trend relatively stable. First, the constancy of domestic fiscal and monetary policies centred on control of inflation creates a climate of confidence and credibility regarding the stability of the Swiss economy and enables the authorities to act with gradualism except in periods of excessive pressure on the foreign exchange markets. Secondly, the Swiss economy is an example of flexible and rapid adjustment to the new constraints of the international environment since the first oil crisis, with the government playing a stimulative and supportive role but not taking the place of private initiative. An illustration can be found in the mechanisms of wage determination and functioning of the labour market, which are more responsive to changes in the economic situation than in most other industrialised countries. In the case of the labour market, however, it must be admitted that the reserve of foreign labour in Switzerland afforded room for manœuvre and certainly made it easier to match employment to the new conditions of growth. Another illustration of this flexibility of adaptation is the redeployment of industrial activities, which has been encouraged by general measures of supply-side adjustment such as promotion of research, technological development and vocational training.

Although a number of internal conditions conducive to recovery are now present in Switzerland, the short-term growth prospects are still very moderate. Domestic demand will be affected by the slowdown in income growth due mainly to the fall in employment; export prospects for 1983 as a whole are still very restrained; and all told, despite the possibility of a cyclical turnaround in the second half of the year, GDP may again regress in 1983. In these circumstances it would seem that the easing of economic policy in recent months should be maintained. Given the reduction in the inflation rate and the size of Switzerland's current payments surplus, it would not be desirable for the fall in oil prices to result in any downward adjustment of targets for growth of the monetary aggregates. It would on the contrary seem advisable to maintain the room for real growth thus created.

The measures of support for Swiss exporters provide for an increase in mixed export credits for developing countries as well as direct aids for those countries' balances of payments. These measures might make it possible to increase slightly the amount of official development assistance which although showing a rise of 9.3 per cent in Swiss franc terms, was equivalent to only 0.24 per cent of GNP in 1981 and 1982. It should be noted that this official assistance was supplemented by traditional long-term capital movements which brought the outflows of capital from Swiss financial markets to developing countries to $2.1 billion. In spite of the recent increases of development assistance, it might be argued that Switzerland, being the richest country in the area as measured by per capital GNP, is below the average of the OECD countries with respect to the share of GNP devoted to assistance (0.33 per cent in 1982 for the OECD average). It would thus seem advisable not to change course but on the contrary to continue and accentuate the recent trend towards increasing foreign assistance.

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STATISTICAL ANNEX

Table A. **Gross national product**

Million Swiss francs, current prices

	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
Private consumption	67 780	75 945	83 135	86 035	88 900	92 645	95 280	100 720	108 040	115 755
Public consumption[1]	12 880	14 815	16 625	17 920	18 935	19 150	19 770	20 800	21 980	23 465
Gross fixed asset formation	34 640	38 210	38 885	33 655	29 230	30 235	32 490	34 585	40 500	44 855
Change in stocks[2]	2 455	2 530	5 200	–1 455	205	0	435	3 255	5 820	3 280
Domestic demand	117 755	131 500	143 845	136 155	137 270	142 030	147 975	159 360	176 340	187 355
Exports of goods and services	35 770	40 225	45 905	44 030	47 700	53 445	53 225	56 015	62 580	69 140
Imports of goods and services	36 815	41 665	48 650	40 030	43 010	49 685	49 525	56 830	68 590	70 930
Gross domestic product at market prices	116 710	130 060	141 100	140 155	141 960	145 790	151 675	158 545	170 330	185 565
Factor income from abroad	6 370	7 380	8 855	8 060	8 520	9 405	9 575	10 480	11 250	14 100
less: Factor income paid abroad	2 545	2 900	3 460	3 590	3 300	3 295	3 755	3 835	4 235	5 210
Gros national product at market prices	120 535	134 540	146 495	144 625	147 180	151 900	157 495	165 190	177 345	194 455

1. Includes private Social Security.
2. Including statistical discrepancy.

Source: Federal Bureau of Statistics.

Table B. **Gross national product**

Million Swiss francs, 1970 prices

	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
Private consumption	58 905	60 535	60 245	58 475	59 100	60 885	62 240	63 030	64 690	65 020
Public consumption[1]	10 490	10 740	10 915	10 990	11 290	11 345	11 570	11 695	11 805	11 865
Gross fixed asset formation	28 780	29 615	28 355	24 505	21 930	22 285	23 645	24 850	27 315	28 130
Change in stocks[2]	1 985	1 975	4 075	–1 210	155	0	250	2 475	3 945	2 000
Domestic demand	100 160	102 865	103 590	92 760	92 475	94 515	97 345	102 050	107 755	107 015
Exports of goods and services	32 830	35 410	35 775	33 425	36 535	40 085	41 575	42 600	44 760	46 865
Imports of goods and services	35 610	37 925	37 555	31 790	35 940	39 265	43 555	46 540	49 890	49 265
Gross domestic product at market prices	97 380	100 350	101 810	94 395	93 070	95 335	95 725	98 110	102 625	104 615
Factor income from abroad	5 700	6 160	6 580	6 050	6 620	7 060	7 500	7 885	7 770	9 230
less: Factor income paid abroad	2 335	2 555	2 695	2 725	2 530	2 470	2 930	2 915	3 030	3 530
Gros national product at market prices	100 745	103 955	105 695	97 720	97 160	99 925	100 295	103 080	107 365	110 315

1. Includes private Social Security.
2. Including statistical discrepancy.

Source: Federal Bureau of Statistics.

Table C. **Wholesale prices**

1963 = 100

	1978	1979	1980	1981	1982	1981 Q1	1981 Q2	1981 Q3	1981 Q4	1982 Q1	1982 Q2	1982 Q3	1982 Q4
Total	142.9	148.3	155.9	165.0	169.2	161.8	164.1	166.3	167.6	167.9	169.3	169.8	169.9
By category of merchandise:													
Farm goods	146.1	146.9	149.3	157.3	159.1	157.6	157.5	155.8	158.3	159.1	161.0	157.9	158.5
Non-processed food products	145.4	145.9	148.0	156.5	157.9	156.8	157.0	155.1	157.3	158.1	159.9	156.8	156.8
Feedstuffs	153.8	158.7	165.1	166.4	173.6	167.5	163.2	164.5	170.4	170.5	174.4	171.4	178.0
Energy and related products	185.5	221.2	236.3	255.6	261.9	250.5	252.7	261.4	257.6	253.5	260.9	265.3	268.0
Processed food products, drink and tobacco	151.1	153.5	158.8	167.8	176.9	165.5	166.0	168.0	171.6	173.0	176.0	178.5	180.2
Textiles	103.0	104.1	113.0	118.9	117.8	116.8	119.1	121.1	118.7	116.9	117.1	118.9	118.2
Wood and cork	145.9	147.7	157.7	170.6	171.9	166.6	170.3	172.9	172.8	173.3	173.0	172.4	168.7
Paper and paper products	139.1	134.9	144.8	156.3	160.4	151.4	154.2	157.4	162.1	160.6	161.1	160.6	159.4
Hides and skins, rubber and plastic products	128.8	138.0	138.7	143.0	147.2	141.1	142.4	143.4	145.0	147.5	148.1	147.0	146.3
Chemicals and related products	121.5	123.7	132.3	138.8	141.3	133.8	137.8	139.8	143.7	142.4	139.7	140.6	142.4
Building materials, ceramic and glass	175.8	177.2	186.9	199.9	216.0	195.6	201.0	201.2	201.7	212.7	217.1	217.3	217.0
Metals and metal products	152.8	158.3	168.1	175.1	179.5	169.9	174.0	177.8	178.6	179.7	180.2	180.2	177.7
By origin of merchandise:													
Domestic	145.6	148.4	155.0	163.7	169.7	160.5	162.7	164.4	167.4	168.1	169.6	170.5	170.7
Foreign	136.3	147.9	158.0	167.8	167.8	164.8	167.4	170.8	168.2	167.2	168.2	168.1	167.7

Source: La Vie économique.

Table D. **Money supply**

Million Swiss francs, end of period

	1973	1974	1975	1976	1977	1978	1979	1980	1981	1982
Monetary base[1]	..	..	23 766	24 638	25 390	29 202	31 154	29 082	28 654	29 166
Money supply M1	44 206	44 697	47 348	51 189	53 155	65 464	60 898[1]	60 753	56 537	62 694
Money supply M2	67 035	72 259	72 751	73 952	78 061	86 140	96 605	109 876	124 282	119 935
Money supply M3	129 631	137 438	148 230	159 277	172 161	189 992	206 722	215 526	224 498	236 256

1. Average of Daily figures.
Source: Swiss National Bank, *Monthly Bulletin.*

Table E. **Interest rates and capital markets**

Million Swiss francs and percentages

	1977	1978	1979	1980	1981 Year	1981 Q1	1981 Q2	1981 Q3	1981 Q4	1982 Q1	1982 Q2	1982 Q3	1982 Q4
Interest rates (end of period)													
Discount rate	1.50	1.00	2.00	3.00	6.00	4.00	5.00	6.00	6.00	5.50	5.50	5.00	4.50
2 day money rate (Euro-Franc)	0.00	–0.38	0.69	0.00	4.75	1.00	1.88	3.50	4.75	0.25	0.56	0.75	1.13
3 months deposits (Zurich)	1.12	0.13	4.42	5.75	8.75	7.00	9.00	9.75	8.75	5.00	4.75	3.25	3.00
Government bond yield	3.78	3.03	4.04	4.63	5.40	5.47	5.62	6.13	5.40	5.11	5.20	4.43	4.23
Savings deposits of cantonal banks	3.02	2.35	2.03	2.76	3.54	3.03	3.03	3.43	3.54	3.89	4.03	4.03	4.03
Memorandum items:													
Euro-dollar three month	7.19	11.61	14.60	19.45	13.33	15.41	17.91	17.79	13.33	14.98	15.48	11.78	9.52
Euro-bond yields (dollars)	8.46	9.56	11.93	13.96	15.07	14.29	14.89	16.58	15.07	16.05	15.94	15.72	13.68
Capital market													
Foreign bonds	3 684	4 350	4 768	5 426	7 515	1 809	1 809	1 759	2 138	2 275	2 489	2 323	2 888
Domestic bonds	7 135	9 713	10 020	9 614	8 835	2 937	1 783	1 784	2 288	2 379	2 851	2 446	
– *Public market issues*	6 714	9 072	9 694	9 428	7 804	2 351	1 723	1 754	1 976	1 848	2 658	2 272	3 033
of which: Government	1 834	1 452	2 395	2 205	1 603	426	223	306	619	339	669	636	920
Financial Institutions[1]	2 827	4 413	4 405	5 862	4 735	1 325	1 146	1 277	986	1 359	1 489	1 190	
Other private	2 054	3 207	2 894	1 362	1 466	601	324	170	371	150	500	446	
Shares													
– *Public market issues*	742	1 091	1 349	2 267	2 043	197	898	239	707	171	247	7	135
Redemptions and conversions	5 825	11 445	11 857	4 957	3 127	1 284	804	546	492	569	742	1 697	1 175

1. Including holdings companies.
Source: Swiss National Bank, *Monthly Bulletin; OECD, Financial Statistics.*

Table F. **Foreign trade by area**

Million US dollars

	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
					Exports, fob					
OECD countries	5 323.2	7 280.6	8 870.5	9 262.1	10 671.4	12 457.1	16 642.0	19 374.6	21 834.8	19 613.4
EEC	3 239.5	4 387.0	5 321.0	5 731.8	6 771.6	8 198.9	11 179.7	13 316.8	15 057.2	13 100.8
EFTA	884.4	1 187.2	1 581.1	1 582.7	1 702.8	1 864.7	2 152.9	2 403.8	2 709.1	2 398.6
USA	601.0	781.3	850.7	838.8	1 019.4	1 163.4	1 678.4	1 817.2	2 150.9	2 122.9
Other	598.3	925.1	1 117.7	1 108.8	1 807.6	1 230.1	1 631.0	1 836.8	1 917.6	1 991.1
Non-OECD countries	1 534.1	2 174.9	2 996.2	3 689.4	4 147.8	5 083.3	6 724.7	7 102.7	7 783.4	7 279.0
COMECON	300.2	439.4	615.7	770.9	804.2	905.0	1 097.3	1 097.9	1 092.0	883.2
OPEC	229.2	356.2	531.0	848.0	1 158.5	1 523.2	1 905.4	1 700.9	2 092.7	2 144.4
Other	1 004.7	1 379.3	1 849.5	2 070.5	2 185.1	2 655.1	3 722.0	4 303.9	4 598.7	4 251.4
Total	6 857.2	9 455.5	11 866.7	12 951.4	14 819.0	17 540.3	23 366.6	26 477.3	29 618.3	26 892.4
					Imports, cif					
OECD countries	7 694.3	10 346.2	12 609.5	11 589.5	12 746.3	15 375.5	20 712.5	25 566.7	31 227.1	26 328.8
EEC	5 839.8	7 944.8	9 609.1	8 821.4	9 831.7	11 944.8	16 084.7	20 286.8	24 385.7	20 083.8
EFTA	847.7	1 111.8	1 356.0	1 140.6	1 166.8	1 311.2	1 706.9	2 102.5	2 515.8	2 153.4
USA	585.0	736.9	942.2	1 003.2	1 010.0	1 204.2	1 776.1	1 836.0	2 458.2	2 288.4
Other	421.8	552.7	702.2	624.3	737.8	915.3	1 144.8	1 341.4	1 867.4	1 803.2
Non-OECD countries	782.3	1 203.1	1 800.4	1 686.7	2 003.4	2 525.9	2 945.2	3 740.8	5 109.0	4 265.8
COMECON	162.8	250.1	369.5	348.0	503.3	607.2	845.3	1 142.8	1 428.0	1 235.2
OPEC	134.0	291.7	603.0	502.3	474.4	567.8	542.5	804.5	1 296.2	1 113.7
Other	485.5	661.3	827.9	836.4	1 025.7	1 350.9	1 557.4	1 793.5	2 384.8	1 916.9
Total	8 476.4	11 549.3	14 409.7	13 276.1	14 759.7	17 901.2	23 657.6	29 307.5	36 336.1	30 594.7

Source: OECD, *Foreign Trade Statistics, Series A.*

Table G. **Foreign trade by commodity group**

Million US dollars

	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
	Exports, fob									
0. Food and live animals	239	300	336	384	425	524	633	682	771	742
1. Beverages and tobacco	120	134	102	113	138	165	218	195	163	141
2. Crude materials, inedible, except fuels	124	200	263	189	242	280	303	438	499	420
3. Mineral fuels, lubricants and related materials	7	15	26	24	19	24	22	24	37	31
4. Animal and vegetable oils and fats	5	10	20	23	22	17	17	21	20	17
5. Chemicals	1 525	2 021	2 680	2 760	3 213	3 580	4 804	5 354	5 680	5 505
6. Manufactured goods, classified chiefly by material	1 140	1 592	2 106	2 145	2 763	3 500	4 838	5 765	6 674	5 197
7. Machinery and transport equipment	2 149	3 069	3 729	4 592	5 019	5 781	7 604	8 419	9 465	8 602
8. Miscellaneous manufactured articles	1 466	1 996	2 397	2 547	2 669	3 284	4 908	5 287	6 100	6 037
9. Commodities and transactions not classified according to kind	53	67	72	112	159	169	185	206	62	25
Total	6 827	9 404	11 731	12 889	14 669	17 325	23 532	26 392	29 471	26 717
	Imports, cif									
0. Food and live animals	843	1 188	1 380	1 391	1 445	1 668	1 965	2 031	2 324	2 169
1. Beverages and tobacco	175	249	246	226	233	283	370	415	455	464
2. Crude materials, inedible, except fuels	373	540	640	577	705	741	865	1 006	1 238	1073
3. Mineral fuels, lubricants and related materials	462	831	1 437	1 369	1 577	1 702	1 930	3 450	4 068	3 752
4. Animal and vegetable oils and fats	30	44	74	67	52	56	66	74	77	57
5. Chemicals	833	1 141	1 708	1 447	1 720	2 012	2 421	3 156	3 648	3 226
6. Manufactured goods, classified chiefly by material	1 887	2 580	3 279	2 734	3 135	4 054	5 511	6 910	9 469	6 272
7. Machinery and transport equipment	2 453	3 041	3 316	3 167	3 411	4 362	6 483	7 203	8 669	7 878
8. Miscellaneous manufactured articles	1 392	1 913	2 283	2 269	2 411	3 029	4 108	4 994	6 153	5 694
9. Commodities and transactions not classified according to kind	20	17	26	32	74	55	73	71	50	17
Total	8 468	11 544	14 389	13 279	14 763	17 962	23 792	29 309	36 148	30 603

Source : OECD, *Foreign Trade Statistics, Series B.*

Table H. **Balance of payments**

Million US dollars

	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
Exports, fob	7 269	9 998	12 469	13 612	15 458	17 990	24 357	27 725	30 443	28 114
Imports, fob[1]	8 322	11 394	14 214	13 179	14 657	17 736	23 635	29 261	35 238	30 679
A. Trade balance	–1 053	–1 396	–1 745	433	801	254	721	–1 536	–4 795	–2 565
Services, net	1 780	2 347	2 621	2 847	3 292	3 853	4 602	5 041	5 395	6 176
of which: Investment income	1 037	1 496	1 987	1 994	2 132	2 503	3 451	3 876	4 558	5 136
Migrants' remittances	–850	–1 149	–1 312	–1 421	–1 196	–1 547	–1 697	–1 939	–2 133	–2 281
B. Balance on goods and services	725	951	876	3 280	4 093	4 106	5 324	3 506	600	3 611
Private transfers, net	–436	–545	–566	–560	–440	–453	–587	–661	–701	–880
Official transferts, net	–69	–125	–139	–133	–156	–212	–336	–400	–439	–142
C. Current balance	220	281	171	2 587	3 497	3 441	4 401	2 444	–540	2 589
Non-monetary capital, net	–83	1 096	2 436	2 601	–822	1 217	5 809	2 376	–60	771
D. Balance on non-monetary transactions (F – E)	137	1 377	2 607	5 188	2 675	4 658	10 210	4 820	–600	3 360
E. Private monetary institutions short-term capital	–70	–405	–2 160	–3 653	–73	–3 989	–3 270	–6 960	–40	–4 538
Assets (– = increase)	–299	–4 376	–11 217	–5 816	–7 214	–14 193	–19 910	–24 350	–20 820	–23 191
Liabilities	229	3 971	9 057	2 163	7 141	10 204	16 640	17 390	20 780	18 653
F. Balance on official settlements										
(c – b – a) = (D + E)	67	972	447	1 535	2 602	669	6 940	–2 140	–640	–1 178
a) Special transactions	–	–	–	–	–	–	–	–	–	–
b) Miscellaneous official accounts[2]	455	–733	–181	23	3	204	1 110	1 410	–140	–529
c) Change in reserves (+ = increase)	522	239	266	1 558	2 605	873	8 050	–730	–780	–1 707
i) Gold	–	4	–	–	3	–	–	–	–	
ii) Currency assets[3]	522	235	266	1 463	2 407	875	8 120	–600	–830	–1 858
iii) Reserve position in IMF	–	–	–	95	195	–2	–70	–130	50	171

1. Imports cif minus 5% as estimate for freight and insurance.
2. Central bank liabilities and other assets.
3. Including Roosa-bonds held by the Confederation.

Sources: Swiss Balance of Payments Submission to the OECD, BIS sources and Secretariat estimates.

BASIC STATISTICS :

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Reference period	Units	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland	Italy	Japan	Luxembourg	Netherlands	New Zealand	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia[1]
POPULATION	Mid-1980	Thousands	14 616	7 509	9 857	23 959	5 125	4 780	53 713	61 566	9 599	229	3 401	57 042[2]	116 782	365	14 144	3 131	4 087	9 966	37 381	8 316	6 373	45 078	56 010	227 658	22 340
Inhabitants per sq. km of land area	»	Number	2	89	323	2	119	16	97	248	73	2	48	189	309	141	418	12	13	108	74	18	154	58	230	24	87
Net average annual increase	Mid-1970 to Mid-1980	%	1.4	0.1	0.2	1.2	0.4	0.4	0.6	0.1	0.9	1.1	1.4	0.6	1.2	0.7	0.8	1.1	0.5	1.0	1.1	0.3	0.2	2.4	0.1	1.1	0.9
EMPLOYMENT Total civilian	1980	Thousands	6 242	3 070	3 751	10 655	(2 470)	2 192	21 142	25 265	(3 347)	(101)	1 149	20 572	55 360	159	4 677	1 270	1 914	3 951	11 254	4 232	3 012	14 610	24 397	97 270	9 690[3]
of which: Agriculture, forestry, fishing	»	% of total	6.5	10.5	3.0	5.5	(8.1)	11.6	8.8	6.0	(29.7)	(11.9)	19.1	14.2	10.4	5.7	6.0	11.0	8.5	28.3	18.9	5.6	7.2	60.4	2.6	3.6	..
Industry[4]	»	»	31.0	40.3	34.8	28.5	(28.6)	34.4	35.9	44.8	(30.0)	(37.6)	32.4	37.8	35.3	38.2	31.8	33.6	29.7	35.7	36.1	32.2	39.5	16.3	38.0	30.6	22.3
Other	»	»	62.5	49.2	62.2	66.0	(63.3)	54.0	55.3	49.2	(40.3)	(50.5)	48.5	48.0	54.3	56.1	62.2	55.4	61.8	36.0	45.0	62.2	53.3	23.3	59.4	65.8	41.9
GROSS DOMESTIC PRODUCT at market prices	1980	US $ billion[11]	140.0	77.0	116.5	253.3	66.4	49.9	651.9	819.1	40.4	2.8	17.8	394.0	1 040.0	4.6	167.6	23.3[3]	57.3	24.1	211.1	122.8	101.5	52.9	522.9	2 587.1	56.2[5]
Average annual volume growth[6]	1975 to 1980	%	2.5	3.5	2.9	3.0	2.6	3.1	3.3	3.6	4.4	3.7	3.9	3.8	5.1	2.3	2.5	0.7	4.6	5.2	2.2	1.2	1.6	2.8	1.6	3.9	5.6
Per capita	1980	US $[11]	9 580	10 250	11 820	10 580	12 950	10 440	12 140	13 310	4 210	12 410	5 190	6 910	8 910	12 570	11 850	7 442	14 020	2 430	5 650	14 760	15 920	1 170	9 340	11 360	2 516
GROSS FIXED CAPITAL FORMATION	1980	% of GDP	22.8	25.3	21.4	23.1	18.3	24.6	21.6	23.6	23.5[8]	26.5	27.9	20.0	31.7	25.3	21.0	17.8	25.0	20.9	19.6	20.3	23.8	18.0	17.8	18.2	35.5
of which: Transport, machinery and equipment	1979	»	..	9.8	6.0	8.1	7.6	8.6	9.2	9.1	8.6	6.6	9.8[19]	8.0	10.7	9.2[22]	8.7	7.8	9.9	7.1	6.9[19]	7.3	7.1	..	9.3	7.4	..
Residential construction	»	»	4.2[10]	14.2	6.5	5.3	6.9	6.3	6.4	6.5	9.2	5.7	6.4[19]	5.1	7.4	6.6[22]	5.8	3.3	5.3	3.7	..	5.0	..	3.8	3.0	4.8	7.2
Average annual volume growth[6]	1975 to 1980	%	1.6	2.2	1.6	2.3	-0.3	-2.2	2.0	5.2	3.8	2.3	7.6	3.5	4.7	1.1	1.4	-7.7	-0.5	4.7	-0.9	-0.2	2.2	-0.2	0.3	3.3	5.7
GROSS SAVING RATIO[12]	1980	% of GDP	21.4[10]	26.2	16.3	21.5	14.4	24.8	21.7	23.1	25.6	24.5	19.8	22.3	30.7	50.1	20.1	19.3[3]	29.9	20.5	18.9	17.3	26.7	16.6	19.2	18.3	37.0
GENERAL GOVERNMENT																											
Current expenditure on goods and services	1979	% of GDP	16.2	18.0	17.7	19.4	25.2	18.4	14.9	20.0	16.3	11.7	20.0	16.1	9.8	15.9	18.1	16.0[9]	19.7	14.8	10.8	28.4	12.9	13.7	20.0	17.4	17.6
Current disbursements[13]	»	»	29.6[10]	42.2	46.2	35.8	49.4	34.6	42.1	40.9	29.7	25.0[22]	41.7[19]	41.1	24.2	43.5	55.1	..	47.1	30.7	26.7	56.8	29.9	23.4	40.0	31.5	..
Current receipts	»	»	32.5[10]	44.2	43.2	35.8	50.3	38.2	43.4	42.9	30.6	34.0[22]	37.8[19]	35.7	26.6	52.2	55.8	..	52.2	26.9	27.5	57.4	33.2	23.8	39.0	32.5	..
NET OFFICIAL DEVELOPMENT ASSISTANCE	1980	% of GNP	0.5	0.2	0.5	0.4	0.7	0.2	0.6	0.4	..	..	..	0.2	0.3	..	1.0	0.3	0.8	..	..	0.8	0.2	..	0.3	0.3	..
INDICATORS OF LIVING STANDARDS																											
Private consumption per capita	1980	US $[11]	5 800	5 650	7 540	5 950	7 270	5 720	7 690	7 340	2 750	7 560	3 310	4 270	5 220	7 430	7 200	4 550	6 600	1 790	3 950	7 630	10 128	851	5 581	7 370	1 343
Passenger cars, per 1 000 inhabitants	1978	Number	479	272	302	410[22]	219	235	327	346	80	339	194	300	185	423	288	395	282	118	178	345	324	11[14]	256	536	85
Telephones, per 1 000 inhabitants	1979	»	440[19]	375	352	666	609	470	415	434	281	444[19]	174	318	460	547	486	545[19]	423	132	294	772	700	39	480	793	79[19]
Television sets, per 1 000 inhabitants	1977	»	351[14]	247[16]	286	428[14]	338	363[14]	372	308	127[14]	214[14]	193	224	239[20]	293[14]	279	259[14]	270[14]	76[14]	185[14]	363[14]	285[14]	44[14]	324	571[20]	199
Doctors, per 1 000 inhabitants	1977	»	1.5[14]	2.3	2.1	1.8	2.0	1.6	1.6[14]	2.0	2.2	1.7[16]	1.2	2.3	1.2	1.1	1.7	1.4	1.8	1.5	1.8	1.8[14]	2.0	0.6	1.5	1.7	1.3
Full-time school enrolment[15]	1979	% of age group	44.4	32.0[22]	61.3[22]	64.9[22]	57.4[22]	68.5	55.9	45.4[19]	45.4[20]	..	50.5	43.9[14]	71.4	37.3[19]	65.0	44.8[22]	65.0	33.4[14]	41.3[19]	56.3[14]	70.1[22]	12.7[20]	46.2[22]	75.0	52.2
Infant mortality[17]	1980	Number	11.0	13.9	11.2[23]	10.9[23]	8.8[23]	7.7[23]	10.0	13.5[23]	18.7[23]	5.4[23]	12.4[23]	14.3	7.4	11.5	8.7[23]	12.6[23]	8.8[23]	26.0[23]	11.1	6.7	8.5[23]	..	11.8	12.6	33.4[19]
WAGES AND PRICES	Average annual increase																										
Hourly earnings in industry[18]	1975 to 1980	%	10.3	7.4	8.8	10.1	11.2	11.1	13.6	6.1	24.2	43.4	16.6	21.2	8.4	..	6.1	15.4	9.4	14.5	25.7	9.9	2.8	35.5	14.9	8.5	19.0
Consumer prices	»	%	10.6	5.3	6.4	8.7	10.4	10.7	10.5	4.1	16.3	41.5	14.1	16.6	6.5	6.1	6.0	14.4	8.4	21.8	18.6	10.5	2.3	50.1	14.4	8.9	17.9
FOREIGN TRADE																											
Exports of goods, fob	1980	US $ million[11]	22 068	17 364	64 500[7]	64 944	16 740	14 148	111 312	191 688	5 184	924	8 508	77 904	129 588	—	73 836	5 421	18 492	4 644	20 820	30 924	29 616	2 748	115 176	220 704	8 568
As percentage of GDP	»	%	15.8	22.8	55.7	25.8	25.2	28.2	17.2	23.3	12.3	33.0	47.8	19.8	12.5	—	46.0	23.3	32.2	19.3	9.8	25.3	29.9	5.2	22.4	8.6	15.2
Average annual volume increase	1975 to 1980	%	3.7	9.3	5.9	6.3	6.2	10.5	6.8	6.3	8.9	12.7	9.6	5.9	9.2	—	4.6	8.1	9.2	..	9.9[25]	2.1	6.3	4.7	4.7	6.7	3.8
Imports of goods, cif	1980	US $ million[11]	20 208	24 252	71 676[7]	58 992	19 320	15 612	134 856	185 856	10 632	996	11 148	99 708	141 108	—	76 872	5 468	16 956	9 300	34 176	33 420	36 336	6 252	120 156	241 200	14 436
As percentage of GDP	»	%	14.5	31.8	61.8	23.4	29.1	31.2	20.8	22.5	25.2	35.6	62.6	25.4	13.6	—	47.9	23.5	29.5	38.7	16.1	27.4	36.7	11.8	23.3	9.4	25.7
Average annual volume increase	1975 to 1980	%	5.0	9.7	5.5	3.2	3.2	2.3	8.7	7.3	3.9	4.9	10.3	7.6	4.4	—	4.7	0.9	4.4	..	0.7[25]	0.8	9.0	-4.1	3.9	6.7	0.5
TOTAL OFFICIAL RESERVES[24]	End-1980	US $ million	2 044	6 223	9 349[7]	4 029	3 459	1 914	30 994	52 261	1 301	176	2 876	26 117	25 717	—	13 607	353	6 100	1 784	12 516	3 690	19 374	1 442	21 492	27 395	1 467
As percentage of imports of goods	In 1980	%	10.1	25.7	13.0	6.8	17.9	12.3	23.0	28.1	12.2	17.7	25.8	26.2	18.2	—	17.7	6.5	36.0	19.2	36.6	11.0	53.3	23.1	17.9	11.4	10.2

1. Partly from national sources.
2. Total resident population.
3. Private and socialised sector.
4. According to the definition used in OECD: Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
5. Social product.
6. At constant prices.
7. Including Luxembourg.
8. Excluding ships operating overseas.
9. Fiscal year beginning April 1st.
10. Fiscal year beginning July 1st.
11. At current prices and exchange rates.
12. Gross saving = Gross national disposable income minus private and government consumption.
13. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
14. 1976.
15. Children aged 15-19.
16. 1974.
17. Deaths in first year per 1 000 live births.
18. Figures are not strictly comparable due to differences in coverage.
19. 1978.
20. 1975.
21. 1972.
22. 1977.
23. 1979.
24. Gold included in reserves is valued at 35 SDR per ounce (see IMF, International Financial Statistics, series Total Reserves).
25. 1976 to 1980.

Note: Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries: OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Observer, Statistics of Foreign Trade (Series A); Statistical Office of the European Communities, Basic Statistics of the Community; IMF, International Financial Statistics; UN, Statistical Yearbook.

National sources have also been used when data are not available according to standard international definitions.

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